Section 1: 6-K (FORM 6-K)

FORM 6-K

SECURITIES AND EXCHANGE COMMISSION

Washington. D.C. 20549

Report of Foreign Private Issuer
Pursuant to Rule 13a - 16 or 15d-16 under
the Securities Exchange Act of 1934

For the fiscal year ended December 31, 2002

(Commission file number)

Fargo Food Company S.A.
Argentine Bread Production S.A.I.C.
Enicor Sociedad Anonima
Capital Foods S.A.
Fresh Food S.A.

(Translation of registrant's name into English)

Av. Leandro N. Alem 1050 - Piso 13th-

Ciudad Autonoma de Buenos Aires,
Republic of Argentina
(Address of principal executive offices)

Indicate by check mark whether the registrant files or will file annual reports under cover Form 20-F or Form 40-F.

Form 20-F [X] Form 40-F [ ]

Indicate by check Mark if the registrant is submitting the Form 6-K in paper as permitted by Regulation S-T Rule 101(b)(1) _____.

Indicate by check mark if the registrant is submitting the Form 6-K in paper as permitted by Regulation S-T Rule 101(b)(7) _____.

Indicate by check mark whether by furnishing the information contained in this Form, the registrant is also thereby furnishing the information to the Commission pursuant to Rule 12g3-2(b) under the Securities Exchange Act of 1934.

Yes [ ] No [X]

If "Yes" is marked, indicate below the file number assigned to the registrant in connection with Rule 12g3-2(b): N/A

SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the Registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

Date: April [ ], 2003

COMPANIA DE ALIMENTOS FARGO S.A.

By:

Name:
Title:

PANIFICACION ARGENTINA S.A.I.C.

By:

Name:
Title:

ENICOR SOCIEDAD ANONIMA

By:

Name:
Title:

CAPITAL, FOODS S.A.

By:

Name:
Title:

FRESH FOOD S.A.

By:

Name:
Title:

EXHIBIT INDEX

1. Compania de Alimentos Fargo S.A. and Subsidiaries. - Free English translation of Consolidated Financial Statements as of December 31, 2002 and 2001, and for the fiscal years ended December 31, 2002 and 2001, with the Comision Nacional de Valores and the Buenos Aires Stock Exchange (Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)

2. Compania de Alimentos Fargo S.A. - Free English translation of Financial Statements as of December 31, 2002 and 2001 and for the fiscal years ended December 31, 2002 and 2001 as filed with the Comision Nacional de Valores and the Buenos Aires Stock Exchange (Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)

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Section 2: EX-1 (CONSOLIDATED FINANCIAL STATEMENTS)

Exhibit 1

Compania de Alimentos Fargo S.A. and Subsidiaries

Free English translation of Consolidated Financial Statements as of December 31, 2002 and 2001, and for the fiscal years ended December 31, 2002 and 2001, with the CNV and the Buenos Aires Stock Exchange (Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)

Compania de Alimentos
Fargo S.A. and Subsidiaries

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Auditor's Report

(1) Pursuant to General Resolution No. 368/01 of the Argentine and Exchange Commission for the purposes of filing with the Buenos Aires Stock Exchange.

ANNUAL REPORT

To the shareholders:

In compliance with current laws and Company by-laws, we attach for your consideration the Annual Report and Balance Sheet, Statements of Operations, Changes in Shareholders' Equity and Cash Flows, notes and schedules for the sixth fiscal year of the Company, begun on January 1, 2002 and ended on December 31, 2002, presented in comparative form with the fifth fiscal year begun on January 1, 2001 and ended on December 31, 2001 for Compania de Alimentos Fargo S.A., hereafter "Fargo".

In addition, we submit to your consideration the Consolidated Balance Sheet for Compania de Alimentos Fargo S.A. and its Subsidiaries at December 31, 2002 and 2001, as well as the Consolidated Statements of Operations and Cash Flows for the fiscal years ended December 31, 2002 and 2001, with consolidated notes and schedules and the Consolidated Summary of Activities, submitted as complementary information.

The Financial Statements that have been submitted will allow you to determine the equity, economic and financial situation of the Company. Nevertheless, we

add some comments that we consider could be of interest to you.

As in the case of most companies over the last decade, business activity has been marked by the many economic crises Argentina has experienced.

As happens in other countries as a result of globalization (under which a crisis in one country can have a direct repercussion on others), in the case of the Argentine economy a sound individual performance is no longer a guarantee of future success, as external events over which the company has no control can break in upon the economic scenario, forcing it into a situation that requires constant restructuring, as all forecasts become meaningless.

Several crises unleashed elsewhere in recent years have contributed to the current economic imbalance.

Just as recovery was taking place following the "tequila" crisis a new crisis broke out on Asian markets. This seriously affected the local financial market, with a consequent drop in consumption and sales.

In August 1998, once 100% of the shares of Fargo S.A., Panificacion Argentina S.A.I.C., Compania Fegopre de Valores Mobiliarios y Garantia S.A., Gouguenheim S.A., DACSA Distribuidora Argentina de Comestibles S.A., Pemsa S.A., Panino S.A. and Enicor S.A. has been acquired, and the merger by absorption had been completed and corporate bonds had been issued, the Russian crisis again impacted on our financial market, preventing local companies from financing their activities because of the drastic reduction in lines of credit and serious financial difficulties.

Subsequently, problems arose in Brazil in early 1999, with a negative impact on the Argentine economy because of the close trade links between the two countries, so that the situation in that country had an immediate effect locally.

All these events have left their mark on our domestic economy, leading it to its current delicate state, with leading indicators that include a major external debt burden, a financial system in crisis, country risk indicators far above normal average and an economic recession that has already lasted more than four years. This situation has led to a significant decrease in the demand for goods and services and a large rise in the level of unemployment. The Government's ability to comply with its commitments has been impaired, as has access to bank financing.

As from December 3, 2001 measures were issued to restrict the free availability and circulation of cash and the transfer of foreign currency abroad. Subsequently, the Government declared default on external debt servicing.

On January 6, 2002, after a political crisis that resulted in the resignation of two presidents, the Government enacted Law 25,561 (Law on public emergency and exchange system reform) that involved profound changes to the prevailing economic model and the amendment of the Convertibility Law in force since March 1991. On February 3, 2002 the Government announced new economic measures that were regulated by Decree 260 (Exchange Regime) dated February 8, 2002, substantially modifying some of the measures implemented by the Public Emergency Law.

Following the complex economic, financial and political scenario described, during the second six months of the year a growing macroeconomic stability and increasing domestic confidence led to a recovery in the economy. Export growth, increasing import substitution by domestic goods, in spite of the lack of credit, together with an incipient recovery in domestic demand after a period of price stability have enabled a steady growth in activity levels for various local productive sectors.

The critical outlook described has had a negative repercussion on the commercial business of Fargo, generating a further decline in sales levels, as well as a reduction in its profit margins.

In the present year, following the devaluation, Fargo's situation deteriorated further because of the following reasons:

- The Company's main input goods, that is to say flour, yeast, polyethylene, etc. are commodities and as such are governed by international prices. As a result, their prices are directly affected by the fluctuation in the rate for the US dollar. In addition, the price of some of these materials has increased in US dollar terms. Increases from the beginning of the year have in some cases been in excess of 200%. It

should be noted that during the year the US dollar reached a level of close to Ps. 4.

- This situation meant that there have been increases of over 250% in essential production process input costs which, because of the state of the market, could not be passed on to prices and had to be absorbed by the Company, significantly affecting results and liquidity.

- During the first part of the year exchange rate volatility generated a drastic shortening in the terms for payment to suppliers, which are now no longer than 10 days, whereas during the previous year the company paid suppliers within an average term of 90 days.

- The significant increases in our input and in the costs of distribution from the sharp rise in fuel costs generated the need to increase sales prices, but never as much as necessary to preserve previous profitability levels, nor as fast as was necessary to quickly recover increases in costs; this was so because as the market shrank each increase in price led to a very significant drop in volume.

- The effect of the devaluation of the peso by the government in January 2002 caused Fargo's debt to increase threefold, while its income, almost all in pesos, has not increased even in nominal terms.

All these events we have described have led the Company to take a series of measures to preserve its continuity in the market, such as:

1. Suspension of the payment of the Company's financial obligations with Bankers Trust Co. and the interest on negotiable obligations. It should be noted that this has not meant the Company falling into a state of insolvency, because Fargo did not interrupt negotiations with its financial creditors.

2. On June 28, 2002 the Company filed for creditor protection under the terms of Section 5 of Bankruptcy Law No. 24,522. The presiding judge authorized the creditors' meeting for August 13, 2002, and to date all the procedural stages have been complied with.

3. To adapt the structure of the organization to the new levels of activity, during the current year various processes have been carried out for the reduction and relocation of personnel. In addition, significant wage cuts were implemented.

4. In June, given the low profitability of the operation, aggravated by the restrictions imposed by the Uruguayan government on the remittance of currency abroad, it was decided to suspend the commercial operations of Enicor S.A., a Fargo subsidiary that distributed our products in that country.

5. In September it was agreed with Supermercados Norte S.A. to rescind the contract signed with that company in 1998 that linked the two companies in a project for the exploitation and supply of products from the fresh pasta plant located in the district of Grand Bourg that belonged to it. This contract was terminated in terms favorable to the Company, as Supermercados Norte assumed a large part of the labor costs arising from the closure of the plant.

All these measures, added to the improvement in some economic variables in the latter part of the year that have indicated an incipient recovery in the Argentine economy, as well as the fall in prices of critical input in recent times have meant that in the last few months there has been a significant recovery in the level of profitability of the various product lines, as well as an improvement in the Company's cash flows.

As we mentioned previously, in these financial statements you will find a detailed description of the operations and events that have taken place during the year. Nevertheless, we would like to highlight the following:

- The Company had recorded goodwill from the purchase of the share capital of Fargo S.A., Pemsa S.A., Panificacion Argentina S.A.I.C., DACSA Distribuidora Argentina de Comestibles S.A., Enicor S.A., Gouguenheim S.A., Panino S.A., Compania Fegopre de Valores Mobiliarios S.A. and Fluxinvest S.A. As a result of the evaluation performed on the recoverability of this goodwill, this year it was decided to accelerate depreciation of the goodwill, leading to a total charge to income under this heading of Ps. 264,308,944.

- As a result of the devaluation of the currency during the year there

has been a sharp increase in our debt in foreign currency, which at the end of the year amounted to Ps. 564,671,403.

In compliance with the terms of Decree 677/2001, we would inform you that:

1. In 2003 the Board intends to permanently monitor the evolution of the industrial bread market, seeking the best conditions to be able to maintain our leadership position.

Internally, we will continue to work on optimizing results, doing so on the basis of an efficient allocation of resources and a continuous follow-up of the variables that could affect our cost structure.

2. During the year the Company has sought out opportunities for simplifying structures and systems to enable further improvement in decision-making processes.

In this same area, as mentioned previously, to adapt the organizational structure to the new levels of activity, during 2002 various processes for the reduction and relocation of personnel have been carried out.

The first line of management meets weekly to exchange information and perform all the analyses necessary for the taking of immediate operating decisions.

3. On the matter of dividend policy, we would inform that in view of the delicate economic and financial state of the Company it must act prudently and conservatively in its use of funds. The Company does not plan to pay dividends until these conditions have been modified. Any change in this regard will be submitted by the Board for consideration.

4. Policy regarding remuneration for the Board and management is based on the need to pay salaries that are in line with the market.

Once again, we would like to express our appreciation to all the Company's personnel for their dedication and commitment.

Buenos Aires, March 10, 2003

THE BOARD OF DIRECTORS

Name of the Company: Compania de Alimentos Fargo S.A. ("The Company")

Corporate domicile: Av. Leandro N. Alem 1050 - Piso 13th - Ciudad Autonoma de Buenos Aires

Principal activity: Manufacturing and/or processing of foodstuff products, particularly bakery products.

Financial Statements
as of December 31, 2002 and 2001 and for the fiscal years ended December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)

Registration date:

Of the By-laws:	October 3, 1997
Of latest amendments:	January 20, 1999

Registration number with the Corporation Control Authority:	1,640,735
Duration of the Company:	October 2, 2096
Name of the majority shareholder:	Fargo Holding (Gibraltar)
Corporate domicile:	10/8 International Commercial Centre Casemates Square - Gibraltar

Principal activity:	Investments
Equity held by the controlling company:	99.999997%
Percentage of votes held by the controlling company:	99.999997%

COMMON STOCK STATUS

Shares			
Number of shares	Type of stock	No. of votes per share	Subscribed issued and paid up (Pesos)
13,770,536	Ordinary, registered, non-endorsable with a face value of Ps. 10 each	1	137,705,360

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEET
as of December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)
(Notes 3 and 4)

ASSETS	December 31,2002 (Pesos)	December 31,2001 (Pesos)
Current Assets		
Cash and banks (Note 5 and Schedule G)	5,827,017	7,202,492
Accounts receivable, net (Notes 6 and 19 and Schedules E and G)	8,790,271	35,977,273
Other receivables, net (Notes 7 and 19 and Schedules E and G)	1,451,606	5,864,919
Inventories, net (Note 8 and Schedule E)	7,965,089	6,353,768
Other assets (Note 9)	2,730,196	2,679,457
Total Current Assets	26,764,179	58,077,909
Non-Current Assets		
Accounts receivable, net (Notes 6 and 19 and Schedule E)	690,628	2,501,090
Other receivables, net (Notes 7 and 19 and Schedules E and G)	358,396	669,616
Investments (Schedule D)	272,645	334,613
Property, plant and equipment, net (Schedules A and G)	101,804,508	138,366,535
Intangible assets, net (Schedule B)	3,677,270	282,349,438
Other assets (Note 9)	17,965,113	4,553,471
Total Non-Current Assets	124,768,560	428,774,763
TOTAL ASSETS	151,532,739	486,852,672
LIABILITIES		
Current Liabilities		
Accounts payable (Notes 10 and 19 and Schedule G)	23,673,736	54,454,342
Short-term debt (Notes 11 and 19 and Schedule G)	564,671,403	41,533,435
Salaries and social security payable (Notes 12 and 19)	4,296,717	12,760,850
Taxes payable (Notes 13 and 19)	4,804,629	6,320,907
Other liabilities (Notes 14 and 19 and Schedule G)	7,638,791	14,900,428
Total Current Liabilities	605,085,276	129,969,962
Non-Current Liabilities		
Accounts payable (Notes 10 and 19)	4,372	266,066
Long-term debt (Notes 11 and Schedule G)	-	300,757,933
Taxes payable (Notes 13 and 19)	-	13,434
Other liabilities (Notes 14 and 19 and Schedule G)	39,600	266,879
Provisions (Note 19 and Schedule E)	4,142,228	4,958,003
Total Non-Current Liabilities	4,186,200	306,262,315
TOTAL LIABILITIES	609,271,476	436,232,277
SHAREHOLDERS' EQUITY	(457,738,737)	50,620,395

TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY.....	151,532,739	486,852,672

The accompanying notes and schedules are an integral part of these consolidated financial statements.

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF OPERATIONS
For the fiscal years ended December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)
(Notes 3 and 4)

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Net sales (Note 15).....	155,824,380	290,693,295
Cost of sales (Schedule F).....	(108,219,009)	(152,645,714)
Gross profit.....	47,605,371	138,047,581
Selling expenses (Schedule H).....	(48,768,067)	(104,459,864)
General and Administrative expenses (Schedule H).....	(15,677,516)	(29,719,384)
Operating (loss)/profit.....	(16,840,212)	3,868,333
Amortization and impairment of value of goodwill (Schedule B)	(264,308,944)	(57,622,615)
Other expenses and income, net (Note 16).....	(11,832,449)	(7,649,926)
Financial results, net (which include the gain/(loss) on exposure to inflation) (Note 17):		
Generated by assets.....	(40,012,656)	(749,497)
Generated by liabilities.....	(175,290,096)	(48,125,357)
Ordinary loss before minimum notional income tax.....	(508,284,357)	(110,279,062)
Minimum notional income tax (Schedule E).....	(74,775)	(10,151,544)
Ordinary loss	(508,359,132)	(120,430,606)
Extraordinary results (Note 21)	-	(6,343,939)
Net loss for the year	(508,359,132)	(126,774,545)

The accompanying notes and schedules are an integral part of these consolidated financial statements.

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CASH FLOWS
For the fiscal years ended December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)
(Notes 3 and 4)

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
CHANGES IN FUNDS		
Funds at the beginning of the year.....	7,202,492	11,380,682
Decrease in funds.....	(1,375,475)	(4,178,190)
Funds at the end of the year.....	5,827,017	7,202,492

CAUSES OF CHANGES IN FUNDS		
Net loss for the year	(508,359,132)	(126,774,545)
Plus: Items not entailing the use of funds		
Depreciation of property, plant and equipment	21,042,754	20,351,588
Net book value of property, plant and equipment decreases and sold	1,290,328	239,987
Amortization and impairment of intangible assets	278,703,395	69,429,727
Net book value of other assets decreases and sold.	228,302	445,518
Loss on impairment of property, plant and equipment and other assets	565,512	-
Depreciation of other assets	1,704,877	592,665
Accrued salaries, social security and indemnities to personnel pending payment	3,662,348	8,643,164
Increase in provision for lawsuits	2,348,584	1,011,427
Increase in allowance for doubtful accounts	4,708,218	10,898,264
Gain from the sale of property, plant and equipment in installments	(100,921)	(173,815)
Holding (gain)/loss on inventories	(5,040,493)	662,815
Unpaid accrued exchange differences	178,246,628	-
Accrued interests pending payment	34,330,118	15,399,718
(Gain) on exposure inflation	(6,246,482)	-
Accrued tax on corporate indebtedness	1,386,484	696,213
Restatement to constant currency of cash at beginning of year	(3,897,696)	-
Increase in provision for non-recoverable tax credits	74,775	10,151,544
Other	144,314	209,244
Changes in assets and liabilities		
Accounts payable	4,743,373	1,770,840
Accounts receivable	(2,481,608)	9,444,072
Other receivables	959,840	7,425,680
Inventories	(9,228)	765,567
Other assets	244,488	(278,770)
Salaries and social security payable	(4,773,160)	(1,913,869)
Taxes payable	154,287	(1,958,826)
Provision for lawsuits	(499,262)	(763,441)
Other liabilities	(1,909,637)	(593,796)
Total of funds provided by the operations	1,221,006	25,680,971
Funds (used in) by investments activities		
Acquisition of property, plant and equipment	(2,565,254)	(9,956,866)
Increase in intangible assets	(31,227)	(4,710,203)
Acquisition of subsidiaries	-	(1,549,642)
Advances for the purchase of shares	-	(246,412)
Total of funds used in investments activities	(2,596,481)	(16,463,123)

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CASH FLOWS
For the fiscal years ended December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)
(Notes 3 and 4)
(Continued)

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Funds (used in) provided by financial activities		
Irrevocable contributions on account of future issues of shares	-	7,944,532
Decrease in loans	-	(21,340,570)
Total of funds used in financial activities	-	(13,396,038)
Decrease in funds	(1,375,475)	(4,178,190)

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)

Supplemental cash flow information		
Non-cash financial activities		
Sale of property, plant and equipment in installments	5,102	202,272
Debt for the acquisition of subsidiaries	6,642,221	12,213,069
Advances granted at 12.31.00 and at 12.31.99 applied to the purchase of subsidiaries	-	21,879,603

The accompanying notes and schedules are an integral part of these consolidated financial statements.

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

For the fiscal years ended December 31, 2002 and 2001 (Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)

Note 1: Company's Activities - Filing for Creditor Protection

Compania de Alimentos Fargo S.A. was organized under the laws of the Republic of Argentina in 1997, and registered with the Public Registry of Commerce of the City of Buenos Aires, under the name of "B and P S.A.".

In view of its corporate purpose, in October 1997 the Company acquired 84.3% of the shares in Fargo S.A., Panificacion Argentina S.A.I.C., Compania Fegopre de Valores Mobiliarios y Garantia S.A., Gouguenheim S.A., DACSA Distribuidora Argentina de Comestibles S.A.I.C.F.A., Pemsa S.A., Panino S.A. and Enicor S.A. (the latter company being located in Uruguay).

Subsequently, on May 29, 1998, the Company acquired the remaining minority interest (that is, 15.7% of the shares) in all the companies mentioned above, and sold its interest in Panino S.A., a company engaged in the manufacture of various types of sandwiches.

Effective June 1, 1998, in order to streamline its existing structures, improve its available resources through the unification of the operating, business, administrative, financial and personnel structures and the cutting back of operating expenses, a merger was agreed between Compania de Alimentos Fargo S.A., as the merging and succeeding company, and Fargo S.A., Compania Fegopre de Valores Mobiliarios y Garantia S.A., Gouguenheim S.A., DACSA Distribuidora Argentina de Comestibles S.A.I.C.F.A. and Pemsa S.A., as the merged companies. As from that date, all the assets, liabilities, rights and obligations of the merged companies were transferred to Compania de Alimentos Fargo S.A., the latter carrying on with the business activities of the former companies.

Compania de Alimentos Fargo S.A.("Fargo") is the largest producer and distributor of industrial bread and bakery products in Argentina, and has an approximate 54% share (measured based on volume) of the Argentine industrial bread market, which includes sliced bread and buns for hamburgers and hot dogs sold by retailers. Furthermore, Fargo is the only company that supplies buns to Mc Donald's in Argentina and one of the largest producers and distributors of frozen dough, which is used to bake traditional bread, including baguettes. The broad lines of products of the Company also include sweet products, tapas and other foodstuff products, which include those manufactured by the Company (breadcrumbs), and other products acquired from third parties.

Fargo has a larger installed manufacturing infrastructure and a larger distribution network than any other bread manufacturing company in Argentina, and markets its products under brands highly recognized on the market for their top quality, which include "Fargo", "Lactal", "Sacaan" and "Bertrand".

The main market for the products that Fargo manufactures is Argentina, with distribution centers located in various parts of the country, from where the demand for products is met. Nevertheless, Fargo has been exporting its products to Uruguay, marketing them through Enicor S.A., a subsidiary of the Company in that country. In 2001, the volume of those sales reached approximately 4.5% of total sales by the Company; but as a result of the distortion generated by the exchange regulations recently enacted in Uruguay (which do not allow companies to transfer foreign currency abroad to pay import amounts within a term of less than 180 days, regardless of the commercial conditions agreed by the parties), plus the specific duties that country has imposed on certain products, which include those exported by

Fargo, such operation is now impossible and uneconomic. In view of the above, since July 2002 Enicor S.A. has ceased to import and sell its products.

Note 1: Company's Activities - Filing for Creditor Protection (Continued)

As in the case of most companies during the last decade, Fargo's industrial and business activities have been affected by the economic crisis Argentina has been enduring but, undoubtedly, the profound recession in which Argentina has been immersed for approximately four years now has led to a sharp and unpredictable decline in Fargo's sales levels and to a significant decrease in its profit margins, particularly during the last two years.

During the current year, as a consequence of the devaluation of the peso, the situation of Fargo worsened due to the following:

- The principal inputs used by the Company, such as flour, yeast, polyethylene, etc., are commodities and are therefore governed by international prices. As a result, the price of those inputs is directly affected by the fluctuations in the quotation of the US dollar.

- This situation led to increases of more than 250% in the price of the most essential inputs involved in the production process which, due to the market conditions, could not be passed on to prices and had to be absorbed by the Company, substantially affecting its results and liquidity levels, and consequently, its sales volume, which fell 25% compared with the same period of the previous year. This led to a reduction of the profit levels of the various lines of products.

- The volatility of the exchange rate sharply reduced the number of days allowed for payment to suppliers, which were down to 10 days. In addition, we were unable to reduce the number of days sales outstanding for approximately 50% of our sales which are made to the supermarket channel to less than an average ranging between 45 and 60 days. It should be noted that last year the Company paid its suppliers within an average term of approximately 90 days.

- Finally, the devaluation of the peso implemented by the Government in January 2002 has had a substantial impact on the financial debt of US$ 150 million; while there have been no significant changes in Fargo's income, a large portion of which is denominated in pesos.

Considering the impossibility of the Company meeting its short-term obligations as a result of the sharp drop in sales, the exhaustion of all available credit lines and the impossibility of meeting its financial obligations as detailed in Note 24 to these financial statements, the imminent expiry of refinancing agreed with strategic suppliers that will be impossible to meet and, mainly, the Company's current cash position which led Fargo to being unable to meet the mentioned refinancing, the Company decided to file for a creditors' composition, which was formalized before the courts on June 28, 2002.

The opening up of a creditors' composition was decided by the Court on August 13, 2002 under the file "Compania de Alimentos Fargo S.A. on creditors' composition" brought before the National Court of First Instance on Commercial Matters No. 20 headed by Raul Taillade, Secretariat No. 39 headed by Ana Amaya.

A plural Class A trusteeship was designated, in which Estudio Abigador, Collia y Vighenzoni with legal address at Uruguay 856 - 3rd "A" was designated Trustee in charge of proof of claims and Estudio Cardero, Rojas Muniz y Asociados with legal address at Doblas 674 - 2nd floor, both in the City of Buenos Aires, as General Trustee.

Note 1: Company's Activities - Filing for Creditor Protection (Continued)

It should be noted that as creditors existing prior to filing for creditors' composition must verify their credits before the trustee before March 28, 2003, at the closing date of these financial statements it is not possible to determine the final composition of the debts under the reorganization proceedings. At that moment it will be possible to finally determine the number of creditors and the computable capital for purposes of calculation of the necessary majorities to approve a composition. Accordingly, the amounts and payment terms contemplated in these financial statements are provisional, and could change according to the court file. The professional fees and expenses related to the composition have not been estimated or provided for since as the date of these financial statements they have not been quantified.

Note 2: Argentine Economic situation and its impact on the Company's Economic and Financial Position

Argentina is immersed in a critical economic situation. The main features of the current economic context are a major external debt burden, a financial system in crisis, country risk indicators far above normal average and an economic recession that has already lasted more than four years. This situation has led to a significant decrease in the demand for goods and services and a large rise in the level of unemployment. The Government's ability to comply with its commitments has been impaired, which led it to default in the payment of external debt services at the beginning of 2002. Furthermore, it is expected that there will be presidential elections during 2003.

To overcome the crisis the country is undergoing, as from December 2001 the government issued measures to restrict the free availability and circulation of cash and the transfer of foreign currency abroad. Subsequently, as from January 2002, laws, decrees and regulations were enacted that involved profound changes to the prevailing economic model (and the amendment of the Convertibility Law in force until then). Among the measures adopted was the establishment of a single free exchange market system, that led to a significant devaluation of the Argentine peso during the first months of 2002; the pesification of certain assets and liabilities in foreign currency held in Argentina and the resulting increase in local prices.

The Company is taking a variety of actions as a result of the present recession and to attempt to limit the negative impact on ongoing operations.

The impact generated by measures adopted to date by the Government on the financial position of the Company as of December 31, 2002 was calculated on the basis of management present assessments. Actual results could differ from current management assessments. Therefore, the Company's financial statements may not include all adjustments that might ultimately result from these adverse conditions.

The future development of the economic crisis might require that the Government modify some measures adopted or issue additional regulations. Therefore, the Company's financial statements should be considered in the light of these circumstances.

Note 2: Argentine Economic situation and its impact on the Company's Economic and Financial Position (Continued)

The Company records significant indebtedness. At December 31, 2002, the financial debt recorded by the Company amounts to Ps. 564,671,403, which includes loans with financial entities for US$ 32,983,280 (principal and interest accrued up to closing date) and a debt with foreign holders of negotiable bonds issued by the Company for US$ 134,575,000 (due to the application of the Law on Reorganization and Insolvency Proceedings, this debt includes interest accrued only until the Company filed for creditor

protection).

In addition, in the fiscal year ended on December 31, 2002 the Company recorded a net loss of Ps. 508,359,132, accumulated losses of Ps. 767,149,056 and a working capital deficit of Ps. 578,321,097. Company Management is currently defining and implementing an action plan to attempt these circunstances. While the Company believes that there are certain alternatives available, there can be no assurance that the Company will be successful in implementing any such alternatives or that any such alternatives, if implemented, will enable the Company to meet its obligations.

The financial statements have been prepared assuming that the Company will continue as a going concern. Therefore, these financial statements do not include any adjustments relating to the recoverability and classification of recorded asset amounts or the amounts and classification of liabilities that might be necessary should the Company be unable to continue as a going concern, requiring it to realize its assets and settle its liabilities, including contingent liabilities, in conditions other than those of the normal course of its business.

In view of these circumstances, in order for the Company to continue to operate normally, it is required to: 1) renegotiate satisfactorily all due dates of principal and interest payments and the terms and conditions of the financial loans and negotiable obligations, as well as its other liabilities, on the basis of its actual ability to pay debts and satisfactorily comply with the reorganization plan, 2) continue to adopt measures to overcome the loss of its capital stock and/or request that new capital contributions be made, which enable it to obtain the necessary funds to settle all its liabilities and commitments undertaken and to absorb or recover the depreciation of its fixed assets and amortization of goodwill.

Note 3: Principles of Consolidation

As required by General Resolutions No. 368/01, No. 398/02 and 415/02 of the CNV, which establishes that consolidated financial statements must be submitted following the procedure outlined in Technical Resolution No. 4 of the Argentine Federation of Professional Councils in Economic Sciences (FACPCE). The Balance Sheet at December 31, 2002 and 2001 of the Company, and the related Statements of Operations and Cash Flows for the fiscal years ended December 31, 2002 and 2001 have been consolidated on a line-by-line basis with the financial statements of the Company's subsidiaries in which it controls a majority of the voting shares (Note 22).

For consolidation purposes the financial statements of Enicor S.A. (a company organized under the laws of Republica Oriental del Uruguay ("R.O.U." or "Uruguay")) have been prepared in accordance with the accounting standards prevailing in Argentina. Enicor S.A. used the convert/adjust financial statement translation method as called for by Technical Resolution No. 13 of the FACPCE.

As a result of the decline in inflation in the Uruguayan economy in the last few years, this country has ceased to be considered hyperinflationary, for which reason Enicor S.A. has decided to discontinue the restatement of its financial statements as from January 1, 2000.

The consolidated financial statements as of December 31, 2001 are presented for comparative purposes, as required by professional accounting standards and have been restated in constant currency as of December 31, 2002. Certain reclassifications have been made to the financial statements as of December 31, 2001 in order to disclose the information contained in them consistently with that of the current year.

Note 4: Accounting Principles

The financial statements of the Company's subsidiaries have been prepared based on accounting principles consistent with those applied for preparing the financial statements of Compania de Alimentos Fargo S.A.

1. In line with professional accounting standards and the requirements of the control bodies, these financial statements have been prepared without recognizing the changes in the purchasing power of the currency until December 31, 2001. As established by Resolution No. 3/2002 of the Professional

Council in Economic Sciences of the Autonomous City of Buenos Aires, Resolution No. 240/02 of the FACPCE and Resolution No. 415/02 of the National Securities Commission, since January 1, 2002 the Company resumed the recognition of the effects of inflation in these financial statements. To this end, the restatement method established by Technical Pronouncement No. 6 of the FACPCE has been followed, considering that the accounting measurements originated prior to December 31, 2001 are stated in the currency value as of that date.

Financial results broken down as follows are shown in the statement of operations:

a. Financial results

b. Exchange differences

c. Holding results and result of exposure to changes in the purchasing power of the currency.

2. The following is a summary of significant accounting policies followed by the Company in the preparation of these consolidated financial statements. These policies have been applied consistently with those of the previous fiscal year:

a. Local currency assets and liabilities

The local currency assets and liabilities have been stated at their face value, including if applicable, accrued interest at the end of the fiscal year.

b. Foreign currency assets and liabilities

Foreign currency assets and liabilities were translated at the exchange rate prevailing on the balance sheet date, including if applicable, accrued interest at the end of the fiscal year.

c. Investments

Non-current:

- Other investments - Properties:

  The real estate properties are stated at their fair market value as of October 31, 1997, based on an appraisal performed by independent professionals, less accumulated depreciation, calculated under the straight-line method over an estimated useful life of 50 years. The values of real estate thus determined were restated in the currency with a year-end value following the guidelines detailed in Section 1., net of the corresponding accumulated depreciation.

Note 4: Accounting Principles (Continued)

d. Accounts receivable

Accounts receivable are stated at estimated realizable values net of the allowance for doubtful accounts which is considered by management to be sufficient to meet any future losses related to uncollectible amounts.

e. Inventories

Inventories are stated at replacement cost and/or production cost at the end of the fiscal year, which does not exceed their recoverable values.

f. Property, plant and equipment

Properties:

The real estate properties are stated at their fair market value as of October 31, 1997, based on an appraisal performed by independent professionals. The building improvements occurred after such date, have been valued at their acquisition cost restated in the currency

with a year-end value following the guidelines detailed in Section 1.

The additions occurred up to August 31, 1995, are recorded at cost, adjusted for the cumulative inflation from the date of acquisition until August 31, 1995. Additions after August 31, 1995 are stated at their acquisition cost restated in the currency with a year-end value following the guidelines detailed in Section 1.

The software line includes the costs that were necessary to implement an integrated SAP R/3 administrative-accounting and management control system. These charges are being amortized following the straight - line method over five years as from the start-up date.

The values of the fixed assets thus determined are disclosed net of the corresponding accumulated depreciation, calculated using the straight-line method, over the estimated useful lives of the related assets, which are specified below:

Assets	Years
Buildings	50
Buildings improvements	10
Machinery and equipment	10
Facilities	10
Computer hardware	5
Software	5
Furniture and fixture	10
Vehicles	5
Molds, plastic trays, containers, platforms and cases	5
Spare parts	10

The values of the fixed assets, taken as a whole, do not exceed their recoverable value.

Note 4: Accounting Principles (Continued)

g. Intangible assets

Goodwill represents the excess of the purchase price paid for the companies' shares acquired over the fair value of their net assets.

Such values arose from the Company's (direct or indirect) purchase of shares in Fargo S.A., Pemsa S.A., Panificacion Argentina S.A.I.C., Panino S.A., Enicor S.A., Gouguenheim S.A., Distribuidora Argentina de Comestibles S.A.I.C.F.A., Compania FEGOPRE de Valores Mobiliarios y Garantia S.A., Fluxinvest S.A., Capital Foods S.A., Fresh Food S.A. and Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A.. Goodwill has been restated in the currency with a year-end value following the guidelines detailed in Section 1., and amortized on a straight-line basis over 20 years as from the month following its addition.

However, as the Company performs regular evaluations for recoverability of the initial investment based on updated projections, as a result of the evaluations made throughout the current year, it decided to accelerate amortization of 100% of the residual value of goodwill generated on the purchase of shares in the companies mentioned in the previous paragraph, except in the case of Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A., for which a net book value of Ps. 3,652,569 is recorded.

Other intangible assets:

- Financing fees and expenses related to bank loan: Represent expenses and fees incurred in relation to the "Bridge Loan" obtained by the Company to issue the negotiable bonds mentioned in Note 24.a. to the unconsolidated financial statements. These expenses were fully amortized following the straight-line method over the term set for repaying the loan.

  Furthermore, this line also includes the expenses incurred in

connection with the "Senior Secured Revolving Credit Agreement" settled on July 27, 2000, as well as those corresponding to the "Amended and Restated Senior Secured Credit Agreement" mentioned in Note 24.b. to the unconsolidated financial statements. As a result of the lack of payment of interest and the composition agreement mentioned in Note 1, during the current year the Company decided to accelerate amortization of the remaining accounting value of these charges.

- Expenses related to negotiable bonds: They correspond to costs and fees incurred in relation to the issuance and registration of negotiable bonds on July 27, 1998 and March 30, 1999.

- Reorganization and development of new projects expenses: They correspond to expenses incurred by the Company regarding its reorganization (purchase of the Company's shares and the merger process). These expenses are stated at cost and were fully amortized following the straight-line method over a three-year period beginning July 1, 1998. In addition, this line includes expenses relating to new projects, which were fully amortized following the straight-line method over the term set from their implementation.

h. Other assets

- Spare parts:

Spare parts have been valued at their acquisition cost restated in the currency with a year-end value following the guidelines detailed in Section 1.

Note 4: Accounting Principles (Continued)

- Inactive Assets:

This line comprises items (mainly machinery) reclassified from Fixed Assets as they are no longer used. Management is currently evaluating the possibility of reincorporating these assets to the Company's normal activities, and therefore it decided to continue calculating depreciation under the same conditions considered for fixed assets, expensed against "Other income and expenses". These assets are valued at acquisition cost restated into year-end currency, following the guidelines detailed in Section 1., net of the corresponding accumulated depreciation calculated on a straight-line basis on the estimated useful life assigned to the assets.

- Assets delivered under a loan for use agreement:

These assets have been valued at their acquisition cost restated in the currency with a year-end value following the guidelines detailed in Section 1., net of the corresponding accumulated depreciation calculated on a straight-line basis based on the estimated useful life assigned to the assets.

- Promotional Materials:

These materials consist of promotional products used by the Company to promote and increase knowledge of its brand. These assets have been valued at their acquisition cost restated in the currency with a year-end value following the guidelines detailed in Section 1.

The value of other assets, taken as a whole, does not exceed their recoverable value.

i. Income tax and tax on Minimum Notional Income ("Impuesto a la Ganancia Minima Presunta")

As a result of the accumulated tax loss carryforwards, the Company did not recognize an income tax provision at the end of the fiscal year.

Law No. 25,063 enacted a tax on minimum notional income for ten fiscal years (See Note 24.b.). This tax is supplementary to income tax, as

while the latter is levied on the taxable net income for the year, the former is levied on the potential income from certain assets at a rate of 1%, and the Company must pay the higher of these two taxes.

Any excess of the tax on minimum notional income over and above income tax in a given fiscal year may be computed as a payment on account of the income tax to arise in the next ten fiscal years, as established by Law No. 25,360 published in the Official Bulletin dated December 12, 2000, thus amending the original term initially set at four fiscal years.

The tax on minimum notional income corresponding to the current fiscal year was considered as a non-current receivable, as shown in Note 7.

The Company periodically (annual) evaluates the recoverability of this tax based on updated projections; therefore Compania de Alimentos Fargo S.A., Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A., Fresh Food S.A. and Capital Foods S.A. have covered their accumulated tax at December 31, 2002 with an allowance, because they have determined that the possibility of offsetting it with income tax to be generated in the terms mentioned above is uncertain.

Note 4: Accounting Principles (Continued)

j. Results for the fiscal year

Income and expense items have been disclosed in the currency values of the fiscal year to which they correspond, except for the charges for assets consumed (fixed asset depreciation, depreciation of other assets and intangible asset amortization) the amounts of which were determined based on the values of those assets. Such items have been adjusted for inflation applying the corresponding adjusting indexes to the historical amounts.

The gain/(loss) on exposure to inflation of the net monetary positions is the counterpart for the adjustments made to all non-monetary asset and liability and income and expense items that were restated in the currency with a year-end value.

k. Statement of Cash Flows

For purposes of presentation of the Consolidated Statement of Cash Flow, cash and cash equivalents as well as banks and readily realizable investments are treated as cash. The Company follows the indirect method, which calls for a series of adjustments to the results of the fiscal year in order to arrive at the funds generated by operations or used for them.

l. Use of estimates

The preparation of financial statements requires management to make estimates and assessments which affect the amounts of contingent assets and liabilities disclosed at the date of these financial statements, as well as the income and expenses recorded during the fiscal year. The Company's management makes estimates to calculate, for example, the allowance for bad debts and discounts, depreciation and amortization charges, the recoverable value of assets, the inventory and other asset obsolescence allowance and provisions for contingencies and taxes. However, the actual future results may differ from the estimates and assessments made at the date of these financial statements.

Note 5: Cash and banks

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Cash (Schedule G)	261,182	994,519
Petty cash	7,257	9,581
Banks in local currency and outstanding bonds	5,292,966	5,998,301

Banks in foreign currency (Schedule G).....	265,612	200,091
	5,827,017	7,202,492

Note 6: Accounts receivable, net

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Trade accounts receivable (Schedule G).....	9,390,610	44,890,243
Notes receivable.....	440,286	2,298,185
Debtors under legal proceedings	31,674	-
Less:		
Allowance for doubtful accounts (Schedule E).....	(1,072,299)	(11,211,155)
	8,790,271	35,977,273
Non-Current		
Debtors under legal proceedings.....	2,863,083	5,805,609
Notes receivable.....	86,683	890,902
Less:		
Allowance for doubtful accounts (Schedule E).....	(2,259,138)	(4,195,421)
	690,628	2,501,090

Note 7: Other receivables, net

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Tax credits and withholdings.....	558,595	3,184,673
Advances to suppliers (Schedule G).....	483,610	810,970
Prepaid insurance (Schedule G).....	10,605	17,915
Advances to employees.....	179,776	139,211
Prepaid expenses (Schedule G).....	3,939	78,130
Receivables from legal proceedings	29,684	197,548
Deposit in guarantee.....	6,300	-
Other (Schedule G).....	575,303	1,436,472
Less:		
Provision for deposit in guarantee (Schedule E)...	(6,300)	-
Provision for tax bad debts (Schedule E)	(389,906)	-
	1,451,606	5,864,919
Non-Current		
Asset tax credit	5,183,573	10,967,145
Allowance of asset tax credit (Schedule E).....	(4,833,427)	(10,390,949)
Other (Schedule G).....	8,250	93,420
	358,396	669,616

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(Continued)

Note 8: Inventories, net

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Goods for resale	141,841	551,749
Finished goods	412,327	997,882
Work in process	147,844	310,328
Raw materials and packaging materials	6,332,261	4,465,767
Subtotal (Schedule F)	7,034,273	6,325,726
Advances to suppliers	930,816	355
Goods in transit	-	31,660
Less:		
Valuation allowance of inventories (Schedule E)	-	(3,973)
	7,965,089	6,353,768

Note 9: Other assets

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Spare parts	2,376,094	2,260,159
Promotional material	252,874	270,068
Other	101,228	149,230
	2,730,196	2,679,457
Non-Current		
Spare parts	1,584,062	1,770,773
Assets released for sale	15,318,046	-
Inactive assets	608,403	806,444
Assets delivered on loan	454,602	1,976,254
	17,965,113	4,553,471

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(Continued)

Note 10: Accounts payable

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Local suppliers (Schedule G)	19,205,625	46,279,319
Foreign suppliers (Schedule G)	550,234	649,777
Unbilled by suppliers (Schedule G)	3,801,896	7,525,246
Provision for expenses	115,981	-
	23,673,736	54,454,342
Non-Current		
Local Suppliers	4,372	266,066
	4,372	266,066

Note 11: Short-term and long-term debt

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Short-term debt		
Negotiable bonds - Principal amount (1) (Schedule G)	404,400,000	-
Collateralized bank debt - Principal amount (1) (Schedule G)	101,100,000	26,152,864
Collateralized bank debt - Accrued interest (1) (Schedule G)	59,171,403	15,380,571
	564,671,403	41,533,435
Long-term debt		
Negotiable bonds - Principal amount (1) (Schedule G)	-	261,528,637
Collateralized bank debt - Principal amount (1) (Schedule G)	-	39,229,296
	-	300,757,933

(1) Details on issuance of negotiable bonds and of the Amended and Restated Senior Secured Credit Agreement are mentioned in Note 24 to the unconsolidated financial statements.

Note 12: Salaries and social security payable

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Salaries payable	824,420	3,221,375
Social security payable (1)	1,820,081	2,152,507
Accrual for vacation and other	867,216	3,072,792
Indemnities to personnel	785,000	4,314,176
	4,296,717	12,760,850

(1) As a result of its failure to pay its social securities

obligations, the Company took part in a Payment Facilities Regime established by National Decree No. 338/02 covering debts with the Federal Administration of Public Revenue which fell due between January 7, 2002 and June 10, 2002 and between August 7, 2002 and October 7, 2002.

Note 13: Taxes payable

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Minimum notional income tax provision, net	101,675	147,709
Tax on corporate indebtedness (1)	1,432,977	696,213
VAT payable, net (1)	2,235,345	4,304,121
VAT withholdings	207,295	259,748
Income tax withholdings	102,351	243,202
Turnover tax payable, net	128,516	120,425
Turnover tax withholdings	224,082	176,453
Other	372,388	373,036
	4,804,629	6,320,907
Non-Current		
Turnover tax payable - Moratoria	-	13,434
	-	13,434

(1) As a result of its failure to pay its tax obligations, the Company took part in a Payment Facilities Regime established by National Decree No. 338/02 covering debts with the Federal Administration of Public Revenue which fell due between October 1, 2001 and April 1, 2002.

Note 14: Other liabilities

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Guarantee deposits received from customers (Schedule G)	507,222	1,172,136
Debt for the acquisition of fixed assets (Schedule G)	-	477,869
Debt for the acquisition of subsidiaries (1) (Schedule G)	6,642,221	12,213,069
Indemnity agreements payable	3,600	7,846
Other	485,748	1,029,508
	7,638,791	14,900,428
Non-Current		
Guarantee deposits received from customers	-	10,080
Debt for the acquisition of fixed assets (Schedule G)	-	161,559
Indemnity agreements payable	35,400	82,382
Other	4,200	12,858
	39,600	266,879

(1) Includes Ps. 2.136.208 for liabilities in schemes of arrangement that were deducted from the purchase price of the subsidiary.

Note 15: Net sales

The breakdown of this caption is as follows:

	December 31, 2002 Gain/(loss) (Pesos)	December 31, 2001 Gain/(loss) (Pesos)
Sales of bakery products (1)	153,123,755	287,737,447
Sales of sub-products and others (1)	3,494,079	4,315,072
Exports reimbursements (2)	218,860	405,223
Turnover tax payable	(1,012,314)	(1,764,447)
	155,824,380	290,693,295

(1) Net sales are adjusted for discounts and returns, if applicable.

(2) Correspond to the percentage of the FOB value of exports, which was established through a Convergence Factor provided by Resolution No. 803/2001 of the Ministry of Economy and Public Works and Utilities, published in the Official Gazette on June 18, 2001, which regulates a temporary regime to foster exports. Furthermore, that line includes exports reimbursements, which under Resolution No. 220/2001, were reinstated for goods exported to Mercosur country members.

Note 16: Other expenses and income, net

The breakdown of this caption is as follows:

	December 31, 2002 Gain/(loss) (Pesos)	December 31, 2001 Gain/(loss) (Pesos)
Recovery of expenses	116,973	156,438
(Loss)/gain from the sale of property, plant and equipment	(1,021,554)	433,268
Indemnities to personnel	(4,741,054)	(5,508,275)
Write down of investments (Note 21)	(1,121,724)	-
Loss of write-off of obsolete material	(1,276,093)	(988,419)
Loss due to tax bad debt	(407,170)	-
Legal expenses	(198,992)	-
Fees for advice for composition agreement	(1,113,061)	-
Loss on impairment of property, plant and equipment and other assets	(565,512)	-
Aquittance obtained from unsecured creditors	36,356	-
Other (1)	(1,540,618)	(1,742,938)
	(11,832,449)	(7,649,926)

(1) At December 31, 2001, the net book value of Ps. 427,918 of other unusable assets written off has been included.

Note 17: Financial results, net (which include the gain/(loss) on exposure to inflation)

The breakdown of this caption is as follows:

	December 31, 2002 Gain/(loss) (Pesos)	December 31, 2001 Gain/(loss) (Pesos)

Generated by assets:		
Interest Income (Note 18)	214,657	574,105
Holding and conversion result	4,459,355	(1,309,335)
(Loss) on exposure to inflation	(45,158,052)	-
Exchange differences	471,384	(14,267)
	(40,012,656)	(749,497)
Generated by liabilities:		
Interest expense	(51,226,361)	(42,453,556)
Exchange Differences and (loss)/gain on exposure to inflation	(102,687,156)	(9,446)
Conversion result	(5,039,092)	55,823
Amortization of bank charges and loans expenses (Schedule B)	(3,206,124)	(1,269,754)
Amortization of expenses on issuance and registration of negotiable bonds (Schedule B)	(11,036,116)	(1,676,373)
Tax on corporate indebtedness	(1,386,484)	(2,011,890)
Other	(708,763)	(760,161)
	(175,290,096)	(48,125,357)
Net financial results	(215,302,752)	(48,874,854)

Note 18: Companies under Article 33 Law 19,550

The balances and operations with companies under Art. 33 Law 19,550 as of December 31, 2002 and 2001 and for the fiscal years ended December 31, 2002 and 2001, are as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Interest from loans		
Global Foods Co. (1)	-	152,983
Total income	-	152,983

(1) Controlling Company of the majority shareholder of Compania de Alimentos Fargo S.A. as of December 31, 2001.

Note 19: Additional information on assets and liabilities

The breakdown of assets and liabilities as of December 31, 2002 is as follows:

ASSETS	Accounts Receivable (Pesos)	Other receivables (Pesos)	Total (Pesos)
To mature			
1st quarter 2003	8,022,273	1,131,975	9,154,248
2nd quarter 2003	90,917	40,441	131,358
3rd quarter 2003	61,883	110,000	171,883
4th quarter 2003	54,024	-	54,024
More than one year	690,628	358,396	1,049,024
Subtotal	8,919,725	1,640,812	10,560,537
No fixed term	384,889	114,533	499,422
Past due	176,285	54,657	230,942

Total	(1) 9,480,899	1,810,002	11,290,901
Not accruing interest	9,480,899	1,810,002	11,290,901
At a fixed rate	-	-	-
Total	(1) 9,480,899	1,810,002	11,290,901

(1) Shown net of the allowance for doubtful accounts.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(Continued)

Note 19: Additional information on assets and liabilities (Continued)

	Accounts payable (Pesos)	Short-term and long-term debt (Pesos)	Salaries and social security payable (Pesos)	Taxes payable (Pesos)	Other liabilities (Pesos)	Provisions (Pesos)	Total (Pesos)
LIABILITIES							
To mature							
1st quarter 2003	6,442,481	-	3.426.573	1,277,277	900	-	11,147,231
2nd quarter 2003	7,021	-	52	101,675	900	-	109,648
3rd quarter 2003	690	-	1.906	-	900	-	3,496
4th quarter 2003	690	-	970	-	900	-	2,560
More than one year	4,372	-	-	-	39,600	4,142,228	4,186,200
Subtotal	6,455,254	-	3.429.501	1,378,952	43,200	4,142,228	15,449,135
No fixed term	-	-	867.216	-	992,976	-	1,860,192
Past due	17,222,854	564,671,403	-	3,425,677	6,642,215	-	591,962,149
Total	23,678,108	564,671,403	4.296.717	4,804,629	7,678,391	4,142,228	609,271,476
Not accruing interest (3)	23,473,658	59,171,403	3.398.063	2,917,251	6,094,565	-	95,054,940
At a fixed rate (1)	204,450	404,400,000	898.654	1,887,378	1,583,826	4,142,228	413,116,536
At a variable rate (2)	--	101,100,000	-	-	-	-	101,100,000
Total	23,678,108	564,671,403	4.296.717	4,804,629	7,678,391	4,142,228	609,271,476

(1) Negotiable bonds accrue interest at an annual rate of 13.25%.
(2) The loan agreement called "Amended and Restated Senior Secured Credit Agreement" accrues an annual interest rate of 9.6875%.
(3) Includes debts, the interest accruals of which have been suspended as from the date on which the Company filed for creditor protection.

Note 20: Assets collateralizing debt

Further to the information provided in Note 18 to the unconsolidated financial statements of Compania de Alimentos Fargo S.A., and in connection with the new loan agreement referred to in Note 24.b. to the unconsolidated financial statements, the Company has granted new security in favour of Bankers Trust Company, instead of the earlier security granted to it, as follows:

- Pledge on subsidiaries' shares: senior pledge on the Company's equity interests in its controlled companies Panificacion Argentina S.A.I.C., Capital Foods S.A. and Enicor S.A.

To comply with the provisions of the loan agreement, on May 24, 2001, a senior pledge was set up on Fresh Food S.A.'s shares that had been acquired by the Company. So far, the Company has not set up pledges on its shares in Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A. (Note 25 to the unconsolidated financial statements).

- Pledge on trademarks: senior pledge with conveyance on certain trademarks owned by the Company, as well as of its controlled companies Panificacion Argentina S.A.I.C. and Capital Foods S.A., for up to US$ 30 million plus interest.

Note 20: Assets collateralizing debt (Continued)

- Pledge on Machinery and Mortgages: senior pledges and mortgages with conveyance on certain machinery and properties owned by the Company and its controlled company Panificacion Argentina S.A.I.C. for up to US$ 30 million plus interest in each case. In addition, there are other security interests on assets belonging to Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A.

As of December 31, 2002, the breakdown of assets subject to a security interest is as follows:

Description		Book value	Institution that grants the loan		Amount owed at 12.31.02	Type of guarantee	
Properties		40,140,486	Bankers Trust Company	(2)	111,153,653	Mortgage	(3)
Machinery		17,083,062	Bankers Trust Company	(2)	111,153,653	Pledge	(3)
Trademarks	(1)	24,701	Bankers Trust Company	(2)	111,153,653	Pledge	(3)

(1) As of December 31, 2002 they were fully amortized, except for the Capital Foods S.A. trademarks.

(2) This relates to the new loan agreement for US$ 30 million, plus interest accrued at the end of the fiscal year (Note 24.b. to the unconsolidated financial statements).

(3) The principal secured is for up to US$ 30 million for each type of collateral.

Note 21: Extraordinary results

a. On March 6, 2002, Compania de Alimentos Fargo S.A. acquired 99.99% and 0.01% of the capital stock and votes of Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A. from International Bakery Company and Fernando M. Carcavallo, respectively, with effective date December 31, 2001.

At December 31, 2002, the balance of the price for this acquisition is approximately US$ 6,6 million.

In addition, during the current fiscal year, the Company had to recognize a higher value of Ps. 1.121.724 in respect of the debt for the acquisition of the subsidiaries without a counterpart in the allocation of values to assets, so such value had to be expensed as "Write down of investments" and included in Other expenses and income, net.

Furthermore, in fiscal year 2001, the Company resolved to write down the investment in that company and provide for the debit balances of Ps. 6.343.939 held with it prior to its acquisition.

(Continued)

Note 22: Corporate Control

As of December 31, 2002 and 2001, the Company shows the following corporate control:

	Percentage of voting shares owned		Closing date of the financial statements used
	12.31.02	12.31.01	
Enicor S.A. (R.O.U.)	100%	100%	12.31.02
Panificacion Argentina S.A.I.C.	99.9999%	99.9999%	12.31.02
Capital Foods S.A.	99.9917%	99.9917%	12.31.02
Fresh Food S.A. (1)	99.9997%	99.9997%	12.31.02
Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A. (2)	99.9986%	-	12.31.02

(1) On February 26, 2001 the CNDC approved the acquisition by the Company of 100% of Fresh Food S.A.'s capital stock (See Note 25.b. to the unconsolidated financial statements).
(2) See Note 25.a. to the unconsolidated financial statements.

The assets and liabilities as of December 31, 2002 and 2001 and the results for the fiscal years ended at such dates, have been consolidated on a line-by-line basis with the financial statements of Compania de Alimentos Fargo S.A.

Note 23: Loss of Capital Stock

As of December 31, 2002, the Company recorded a deficit of Ps. 457,738,737 in its shareholders' equity. This situation is envisaged in Section 94 subsection 5 of the Corporations Law No. 19,550, which establishes that the loss of the corporate capital is a grounds for the dissolution of companies.

However, in view of the crisis affecting Argentina, through Decree 1269/02 passed on July 17, 2002, the National Executive Branch suspended the application of Sections 94, subsection 5 and 206 of the Corporations law until December 10, 2003.

Note 24: Benefit from certain exemptions established by Decree 1054/01

On October 31, 2001, the Official Gazette included the Company as beneficiary of the exemptions granted under Decree No. 1054/01, issued by the Executive Branch on August 22, 2001. These benefits are in force as from the day following publication.

The Decree grants tax benefits to certain economic activities in order to improve their competitiveness and job-generation possibilities. The Decree provides that individuals or entities carrying out certain economic activities, as listed therein, will be entitled to the following benefits:

a. Exemption from Tax on Interest Paid and on Corporate Indebtedness established by Law No. 25,063, as amended.

(Continued)

Note 24: Benefit from certain exemptions established by Decree 1054/01 (Continued)

b. Consideration of the value of the assets used in the economic activity carried out in Argentina and encompassed by the Decree, as non computable for purposes of the Tax on Minimum Notional Income

established by Law No. 25,063, as amended.

c. Consideration as input value added tax of employer contributions accrued during the fiscal year and actually deposited at the time of filing the corresponding tax return.

Subsequently, Decree No. 1676/01 published in the Official Gazette on December 20, 2001 suspended the application of point c) above until March 31, 2003.

Note 25: Subsequent Events

a) On January 28, 2003, the controlling stock of Compania de Alimentos Fargo S.A. was transferred through the assignment of 100% of the shares making up the capital stock of the Company's indirect parent (Global Foods Co), in favor of the "Global Foods Trust", an ordinary trust set up under the laws of the Republic of Panama. As a consequence of this change, a new board of directors was appointed.

b) On August 29, 2001 an overall inspection was carried out at the Company under Inspection Order No. 808/7, during which tax information for fiscal periods 2000 and 2001 was requested, continuing with information for unexpired periods.

On February 3, 2003 the tax authorities notified the Company that it had partially violated section 36 of Law No. 23,576 referred to the placement of negotiable obligations, which resulted in the suspension of tax benefits related to income tax withholdings from foreign beneficiaries. This assumption resulted in calculation of debt of approximately Ps. 25,800,000.

On February 28, 2003 the Company replied to the notice requesting revocation of the assessment on grounds of inconsistency and provided the tax authorities with supporting evidence and documentation to demonstrate compliance with the mentioned law. The Company is waiting for a favorable ruling to be issued in this respect and considers that the tax authorities will approve the request as it has all the necessary elements to close the case.

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
For the fiscal years ended December 31, 2002 and 2001
Consolidated Property, Plant and Equipment, net

Schedule A

	Original Value						
Principal account	At the beginning of the year (Pesos)	Additions due to the acquisition of subsidiaries (Pesos)	Additions (Pesos)	Decrease (Pesos)	Transfers (Pesos)	Reclassifications (Pesos)	As of the end of the year (Pesos)
Land	20,143,579	-	-	-	-	(7,000,904)	13,142,675
Buildings	46,986,667	-	283,672	(15,829)	956,399	(7,479,583)	40,731,326
Machinery and equipment	115,169,434	-	7,758	(1,621,961)	15,479	(13,645,119)	99,925,591
Facilities	22,397,618	-	78,297	(143,567)	32,813	(542,751)	21,822,410
Computer hardware	5,311,250	-	153,559	(20,019)	-	(205,708)	5,239,082
Software	18,640,293	-	16,783	(21,335)	-	(30,038)	18,605,703
Furniture and fixtures	8,894,755	-	74,857	(189,729)	2,495	(267,687)	8,514,691
Vehicles	6,383,690	-	387,886	(356,852)	-	(2,597,092)	3,817,632
Molds, plastic trays, containers platforms and cases	25,915,456	-	1,173,880	(537,879)	232,013	(3,103,085)	23,680,385
Spare parts	566,860	-	-	-	-	-	566,860
Work in progress	1,537,449	-	492,831	(174)	(781,500)	-	1,248,606
Advances to suppliers(1)	448,861	-	455,539	(170,445)	(457,699)	-	276,256
Total as of December 31, 2002	272,395,912	-	(2) 3,125,062	(3,077,790)	-	(34,871,967)	237,571,217

Total as of December 31, 2001.....	230,240,661	34,472,321	9,956,866	(2,452,515)	-	178,579	272,395,912	

Description								
Principal account	Accumulated at the beginning of the year (Pesos)	Additions due to the acquisition of subsidiaries (Pesos)	Decreases (Pesos)	Re-classifications (Pesos)	For the year (Pesos)	Accumulated at the end of the year (Pesos)	Net carrying value as of December 31, 2002 (Pesos)	Net carrying value as of December 31, 2001 (Pesos)
Land.....	-	-	-	-	-	-	13,142,675	20,143,579
Buildings.....	11,249,050	-	(12,560)	(1,202,540)	2,338,252	12,372,202	28,359,124	35,737,617
Machinery and equipment.....	70,016,676	-	(617,107)	(12,389,510)	9,653,561	66,663,620	33,261,971	45,152,758
Facilities.....	11,954,236	-	(125,294)	(205,025)	2,170,983	13,794,900	8,027,510	10,459,727
Computer hardware...	2,525,832	-	(7,302)	(150,585)	1,015,838	3,383,783	1,855,299	2,798,346
Software.....	7,659,301	-	(21,335)	(12,650)	3,550,736	11,176,052	7,429,651	10,982,466
Furniture and fixtures.....	5,561,973	-	(59,386)	(134,927)	668,010	6,035,670	2,479,021	3,350,866
Vehicles.....	6,134,372	-	(347,019)	(2,371,821)	357,719	3,773,251	44,381	350,756
Molds, plastic trays, containers platforms and cases.....	18,759,249	-	(486,149)	(2,713,486)	2,634,817	18,194,431	5,485,954	7,156,207
Spare parts.....	318,957	-	-	-	53,843	372,800	194,060	247,903
Work in progress	-	-	-	-	-	-	1,248,606	1,537,449
Advances to suppliers (1)	-	-	-	-	-	-	276,256	448,861
Total as of December 31, 2002.....	134,179,646	-	(1,676,152)	(19,180,544)	(3)22,443,759	135,766,709	101,804,508	-
Total as of December 31, 2001.....	98,098,319	17,810,586	(2,184,071)	103,224	(4)20,351,588	134,179,646	-	138,366,535

(1) See Schedule G.
(2) Ps. 559,808 corresponding to conversion of initial balances are included in "Financial results, net (which include the gain/(loss) on exposure to inflation)" (Note 17).
(3) Ps. 21,042,754 are included in Schedule H, Ps. 329,114 corresponding to conversion of initial balances are included in "Financial results, net (which include the gain/(loss) on exposure to inflation)" (Note 17) and $ 1,071,791 in "Other expenses and income, net" (Note 16).
(4) Shown in Schedule H.

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
For the fiscal years ended December 31, 2002 and 2001
Consolidated Intangible Assets, net

Schedule B

	Original Value			
Principal amount	At the beginning of the year (Pesos)	Additions (Pesos)	Reclassifications (Pesos)	As of the end of the year (Pesos)
Goodwill.....	393,657,438	-	-	393,657,438
Fees and expenses re. Bank loans	18,441,021	-	-	18,441,021
Trademarks	392,295	-	-	392,295
Advertising expenses	1,591,286	-	-	1,591,286

Expenses re. Issuance and registration of negotiable bonds	16,562,650	-	-	16,562,650
Reorganization and development of new projects expenses	14,300,975	31,227	-	14,332,202
Total as of December 31, 2002	444,945,665	31,227	-	444,976,892
Total as of December 31, 2001	418,180,506	26,739,878	25,281	444,945,665

	Amortization					
Principal amount	Accumulated at the beginning of the year (Pesos)	Reclassific-ations (Pesos)	For the year (Pesos)	Accumulated as of the end of the year (Pesos)	Net carrying value as of December 31, 2002 (Pesos)	Net carrying value as of December 31, 2001 (Pesos)
Goodwill	125,695,925	-	264,308,944	390,004,869	3,652,569	267,961,513
Fees and expenses re. Bank loans	15,234,897	-	3,206,124	18,441,021	-	3,206,124
Trademarks	350,158	-	17,436	367,594	24,701	42,137
Advertising expenses	1,591,286	-	-	1,591,286	-	-
Expenses re. Issuance and registration of negotiable bonds	5,526,534	-	11,036,116	16,562,650	-	11,036,116
Reorganization and development of new projects expenses	14,197,427	-	134,775	14,332,202	-	103,548
Total as of December 31, 2002	162,596,227	-	(1) 278,703,395	441,299,622	3,677,270	-
Total as of December 31, 2001	93,164,896	1,604	(2) 69,429,727	162,596,227	-	282,349,438

(1) Ps. 14,242,240 are included in "Financial results, net (which include the gain/(loss) on exposure to inflation)" (Note 17), Ps. 264,308,944 in the Statement of Operations and Ps. 152,211 in Schedule H.

(2) Ps. 2,946,127 are included in "Financial results, net (which include the gain/(loss) on exposure to inflation)" (Note 17), Ps. 57,622,615 in the Statement of Operations and Ps. 8,860,985 in Schedule H.

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
Consolidated Balance Sheet as of December 31, 2002 and 2001
Other Consolidated Investments

Schedule D

Principal account and characteristics	Net book value as of December 31, 2002 (Pesos)	Net book value as of December 31, 2001 (Pesos)
Non-Current		
Properties - Net carrying value	272,645	334,613
Total	272,645	334,613

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
For the fiscal years ended December 31, 2002 and 2001
Consolidated Provisions

Schedule E

Items	Value at the beginning of the year (Pesos)	Additions due to the acquisition of subsidiaries (Pesos)	Additions for the year (Pesos)	Deductions for the year (Pesos)	Balance as of December 31 2002 (Pesos)	Balance as of December 31, 2001 (Pesos)
Deducted from assets						
Allowance for doubtful accounts....	15,406,576	-	(1) 4,321,439	(16,396,578)	3,331,437	15,406,576
Obsolescence / slow moving reserve.....	3,973	-	-	(3,973)	-	3,973
Provision for non-recoverable tax credits.....	-	-	(2) 405,650	(15,744)	389,906	-
Allowance of assets tax credit.....	10,390,949	-	74,775	(5,632,297)	4,833,427	10,390,949
Allowance for obsolescence of other assets.....	-	-	34,378	-	34,378	-
Provision Other	-	-	6,300	-	6,300	-
Total deducted from assets	25,801,498	-	4,842,542	(22,048,592)	8,595,448	25,801,498
Included under non-current liabilities						
Provisions for lawsuits and other contingencies.....	4,958,003	-	2,374,841	(3,190,616)	4,142,228	4,958,003
Total included under non-current liabilities	4,958,003	-	(3) 2,374,841	(3,190,616)	4,142,228	4,958,003
Total as of December 31, 2002.....	30,759,501	-	7,217,383	(4)(25,239,208)	12,737,676	-
Total as of December 31, 2001.....	9,607,211	378,617	22,061,235	(1,287,562)	-	30,759,501

(1) Ps. 4,152,387 are included in Schedule H, Ps. 54,338 are included in "Other expenses and income, net" (Note 16) and Ps. 114,714 are included in "Import and export expenses" in Schedule H.
(2) Shown in "Other expenses and income, net" (Note 16).
(3) Ps. 2,215,341 are included in Schedule H and Ps. 159,500 in "Other expenses and income, net"(Note 16).
(4) Ps. 17,689,090 have been included in "Financial results net (which include the gain/(loss) on exposure to inflation)" (Note 17) due to the restatement to constant currency of the opening balances and Ps. 7,550,118 corresponding to uses for the year.

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
For the fiscal years ended December 31, 2002 and 2001
Consolidated Cost of Sales

Schedule F

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Inventory balance at the beginning of the year.....	6,325,726	7,619,380
Additions due to the acquisition of subsidiaries.....	-	43,205
Plus:		
Purchases for the year.....	61,337,209	79,564,685
Production expenses (Schedule H)...	47,590,347	71,744,170
Less:		

Inventory balance at the end of the year (Note 8)	(7,034,273)	(6,325,726)
Cost of sales	108,219,009	152,645,714

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
Consolidated Balance Sheet as of December 31, 2002 and 2001
Consolidated Foreign Currency Assets and Liabilities

Schedule G

	December 31, 2002			December 31, 2001	
	Type and amount of foreign currency	Current exchange rate (1 and 2)	Amount in local currency (Pesos)	Type and amount of foreign currency	Amount in local currency (Pesos)
ASSETS					
Current Assets					
Cash and banks	US$ 80,827	3.37	272,430	US$ 92,817	202,286
Accounts receivable, net	US$ 593,658	3.37	2,000,627	US$ 245,529	535,107
Other receivables, net	US$ 965	3.37	3,252	US$ 83,613	182,227
Total Current Assets			2,276,309		919,620
Non-Current Assets					
Other receivables, net	US$ -		-	US$ 8,670	18,895
Advances to suppliers (purchase of property, plant and equipment)	US$ 44,000	3.37	148,280	US$ 99,583	217,032
Total Non-Current Assets			148,280		235,927
Total Assets			2,424,589		1,155,547
LIABILITIES					
Current Liabilities					
Accounts payable	US$ 1,169,756	3.37	3,942,727	US$ 1,744,187	3,801,290
Short-term debt	US$ 167,558,280	3.37	564,671,403	US$ 19,057,233	41,533,435
Other liabilities	US$ -		-	US$ 2,483,703	5,412,996
Total Current Liabilities			568,614,130		50,747,721
Non-Current Liabilities					
Long-term debt	US$ -		-	US$ 138,000,000	300,757,933
Other liabilities	US$ -		-	US$ 74,130	161,559
Total Non-Current Liabilities			-		300,919,492
Total Liabilities			568,614,130		351,667,213

(1) Average exchange rate in effect at December 31, 2002 established by Banco Nacion Argentina: U$S 1 = $ 3.37
(2) Enicor S.A., a Company under Article 33 of Law No. 19,550, applied the interbank selling exchange rate in effect at December 31, 2002 adopted by the Central Bank of Uruguay: US$ 1= $3,370,968.

COMPANIA DE ALIMENTOS FARGO S.A. AND SUBSIDIARIES
Consolidated Information required under Art. 64, clause (b) of Law 19,550
For the fiscal years ended December 31, 2002 and 2001

Schedule H

Item	Production cost (Pesos)	General and Administrative Expenses (Pesos)	Selling Expenses (Pesos)	Total as of December 31, 2002 (Pesos)	Total as of December 31, 2001 (Pesos)
Fees and payments for services.....	8,167,417	2,914,077	1,042,029	12,123,523	13,701,156
Salaries and wages.....	13,845,999	5,478,661	7,308,629	26,633,289	59,641,052
Social security contributions.....	3,653,946	470,056	998,062	5,122,064	9,998,652
Travel and other employee expenses.....	450,551	1,080,522	638,824	2,169,897	5,482,011
Freight and transportation.....	56,947	1,006	11,695,231	11,753,184	22,497,997
Advertising and promotion.....	13,384	21,291	11,905,386	11,940,061	30,183,077
Insurance.....	154,383	66,403	204,062	424,848	796,969
Import and export expenses.....	9,174	4,715	300,987	314,876	454,964
Security services.....	543,822	78,139	305,944	927,905	1,840,465
Electricity, fuel, maintenance and repairs.....	3,402,462	906,933	1,194,145	5,503,540	11,974,865
Taxes and contributions.....	1,202,241	1,327,432	1,381,847	3,911,520	7,316,309
Depreciation of fixed assets.....	14,768,873	2,453,805	3,820,076	21,042,754	20,351,588
Amortization of other intangible assets.....	-	31,227	120,984	152,211	8,860,985
Depreciation of other assets.....	-	-	465,764	465,764	592,665
Defaulting debtors.....	-	-	4,152,387	4,152,387	4,554,325
Lawsuits.....	807,634	74,030	1,333,677	2,215,341	1,011,427
Leases.....	-	121,639	1,014,517	1,136,156	3,033,095
Other.....	513,514	647,580	885,516	2,046,610	3,631,816
Total as of December 31, 2002.....	47,590,347	15,677,516	48,768,067	112,035,930	-
Total as of December 31, 2001.....	71,744,170	29,719,384	104,459,864	-	205,923,418

1. BRIEF COMMENTS ON THE ACTIVITIES OF THE COMPANY

The following analysis should be read in conjunction with the financial statements of the Company at December 31, 2002 and 2001, which have been prepared following the guidelines of General Resolutions 368/01, 398/02 and 415/02 issued by the National Securities Commission.

Net sales during the year ended December 31, 2002 totaled Ps. 155.82 million, 46.4% less than in the same period of the previous year. These sales, which were lower by Ps. 134.87 million measured in uniform units of currency, have been due to two factors: lower sales for mold bread, buns, frozen products and others, strongly influenced by the effect on the industry of the low levels of activity by the Argentine economy, and also because of the recognition of the effects of inflation, with the adoption as from January 1, 2002 of the restatement method established by Technical Resolution No. 6 (See Note 4 to the consolidated financial statements).

Operating costs (cost of sales and administration and selling expenses) during the fiscal year 2002 were Ps. 172.7 million, compared to Ps. 286.8 million in the previous year, a drop of 39.8%.

The reduction that took place in operating expenses in general has mainly been due to the drop in salaries and wages and social security contributions because of the personnel reduction that took place, and cuts in advertising expenses, publicity and distribution expenses.

There has also been a significant increase in the charge for amortization of goodwill following the Company's decision to accelerate the rate of

amortization for part of this charge, as detailed in a note to these financial statements.

Financial results were a loss of Ps. 215 million in 2002, Ps. 166.4 million more than in the previous year. The increase in these expenses has been due to the fact that on January 6, 2002 the Government approved Law No. 25,561 (Law on Public Emergency and Reform of the Exchange System) which represented a profound change in the economic model that had been followed until then, with a major impact on the Company's debt from the application of the current rate of exchange and the recognition of the effects of inflation.

2. BALANCE SHEET STRUCTURE

	At 12.31.02 (Pesos)	At 12.31.01 (Pesos)	At 12.31.00 (Pesos)	At 12.31.99 (Pesos)	At 12.31.98 (Pesos)
Current Assets	26.764.179	58.077.909	88.225.202	73.381.440	70.017.087
Non-Current Assets	124.768.560	428.774.763	500.391.670	515.995.513	510.736.451
Total Assets	151.532.739	486.852.672	588.616.872	589.376.953	580.753.538
Current Liabilities	605.085.276	129.969.962	93.690.688	102.154.167	58.525.667
Non-Current Liabilities	4.186.200	306.262.315	325.475.776	265.947.573	289.533.762
Total Liabilities	609.271.476	436.232.277	419.166.464	368.101.740	348.059.429
Shareholders' Equity	(457.738.737)	50.620.395	169.450.408	221.277.213	232.694.109
Total Liabilities and Shareholders' Equity	151.532.739	486.852.672	588.616.872	589.378.953	580.753.538

3. INCOME AND EXPENSE STRUCTURE

	For the fiscal years ended December 31, 2002 (Pesos)	For the fiscal years ended December 31, 2001 (Pesos)	For the fiscal years ended December 31, 2000 (Pesos)	For the fiscal years ended December 31, 1999 (Pesos)	For the fiscal years ended December 31, 1998 (Pesos)
Operating (loss) / profit	(16,840,212)	3,868,333	17,684,796	38,979,798	26,010,027
Other expenses and income, net	(11,832,449)	(7,649,926)	(2,980,526)	(13,326,281)	(1,760,014)
Amortization and impairment of value of goodwill	(264,308,944)	(57,622,615)	(14,108,416)	(13,944,246)	(13,071,415)
Financial results, net (which include the gain/(loss) on exposure to inflation)	(215,302,752)	(48,874,854)	(52,422,659)	(44,920,220)	(45,407,234)
Equity in income of affiliated company - Profit	-	-	-	-	43,612
Net operating loss before income tax and minimum notional income tax	(508,284,357)	(110,279,062)	(51,826,805)	(33,210,949)	(34,185,024)
Minority interest	-	-	-	-	(1,362,597)
Minimum notional income tax and income tax	(74,775)	(10,151,544)	-	-	(6,568,976)
Ordinary loss	(508,359,132)	(120,430,606)	(51,826,805)	(33,210,949)	(42,116,597)
Extraordinary results	-	(6,343,939)	-	-	-
Net loss for the year	(508,359,132)	(126,774,545)	(51,826,805)	(33,210,949)	(42,116,597)

4. STATISTICS

	Production Volume (tons)					Sales Volume (tons)				
Production Line	At 12.31.02	At 12.31.01	At 12.31.00	At 12.31.99	At 12.31.98	At 12.31.02	At 12.31.01	At 12.31.00	At 12.31.99	At 12.31.98
Buns	14,349	16,905	18,292	18,689	17,743	13,572	15,767	16,868	17,561	16,585
Sliced Bread	28,199	38,475	38,684	40,760	40,534	25,768	35,484	35,063	37,243	37,243
Frozen Dough	14,410	19,491	17,089	12,914	4,980	14,407	19,470	17,081	13,581	4,972
Other Products	6,632	12,326	14,515	17,200	16,885	6,386	11,765	14,484	15,590	15,974
Total	63,590	87,197	88,580	89,563	80,142	60,133	82,486	83,496	83,975	74,774

	Domestic Market Sales (tons)					Exports (tons)				
Production Line	At 12.31.02	At 12.31.01	At 12.31.00	At 12.31.99	At 12.31.98	At 12.31.02	At 12.31.01	At 12.31.00	At 12.31.99	At 12.31.98
Buns	13,163	14,664	15,856	16,596	15,687	409	1,103	1,012	965	898
Sliced Bread	25,358	34,347	33,985	35,765	35,928	410	1,137	1,078	1,478	1,315
Frozen Dough	14,379	17,917	15,891	13,521	4,792	28	1,553	1,190	60	180
Other Products	6,371	11,666	14,355	15,425	15,816	15	99	129	165	158
Total	59,271	78,594	80,087	81,307	72,223	862	3,892	3,409	2,668	2,551

5. RATIOS

	At 12.31.02 (Pesos)	At 12.31.01 (Pesos)	At 12.31.00 (Pesos)	At 12.31.99 (Pesos)	At 12.31.98 (Pesos)
Current ratio	0.04	0.45	0.94	0.72	1.20
Debt-to-Equity	-1.33	8.62	2.47	1.66	1.50
Ordinary profitability before income tax and minimum notional income tax	-1004.3%	-64.5%	-23.4%	-13.1%	-12.4%

6. BRIEF COMMENT ON THE COMPANY'S PROSPECTS

It is the Company's intention to continue to be the leader in its traditional lines and to strengthen the lines launched in recent years. The Company will continue actively seeking improvements in revenue, and therefore it is working on increasing its sales level, improving the assigning of resources and reducing costs.

Buenos Aires, March 10, 2003

Hernan Gestoso
President

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Section 3: EX-2 (FARGO FINANCIAL STATEMENTS)

Exhibit 2

Compania de Alimentos Fargo S.A.

Free English translation of Financial Statements as of December 31, 2002 and 2001 and for the fiscal years ended December 31, 2002 and 2001 as filed with the CNV and the Buenos Aires Stock Exchange on March 12, 2003 (Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)

COMPANIA DE ALIMENTOS FARGO S.A.
UNCONSOLIDATED BALANCE SHEET
as of December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)
(Notes 3 and 4)

ASSETS	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current Assets		
Cash and banks (Note 5 and Schedule G).....	5,607,298	6,445,759
Accounts receivable, net (Notes 6, 19 and 21 and Schedules E and G).....	12,073,954	37,070,630
Other receivables, net (Notes 7 and 21 and Schedule G)....	1,217,015	4,502,313
Inventories (Note 8).....	7,965,089	6,261,673
Other assets (Note 9).....	2,730,196	2,679,457
Total Current Assets.....	29,593,552	56,959,832
Non-Current Assets		
Accounts receivable, net (Notes 6 and 21 and Schedule E)....	678,228	2,501,090
Other receivables, net (Notes 7 and 21 and Schedules E and G).....	8,250	62,017
Investments (Schedules C and D).....	21,400,760	22,204,801
Property, plant and equipment, net (Schedules A and G).....	89,298,325	107,853,392
Intangible assets, net (Schedule B).....	3,652,569	282,203,753
Other assets (Note 9).....	2,558,861	3,135,105
Total Non-Current Assets.....	117,596,993	417,960,158
TOTAL ASSETS.....	147,190,545	474,919,990
LIABILITIES		
Current Liabilities		
Accounts payable (Notes 10, 19 and 21 and Schedule G).....	24,658,722	56,452,422
Short-term debt (Notes 11 and 21 and Schedule G).....	564,671,403	41,533,435
Salaries and social security payable (Notes 12 and 21).....	3,947,685	10,759,587
Taxes payable (Notes 13 and 21).....	4,265,898	5,953,736
Other liabilities (Notes 14 and 21 and Schedule G).....	3,702,144	5,339,457
Total Current Liabilities.....	601,245,852	120,038,637
Non-Current Liabilities		
Accounts payable (Notes 10 and 21).....	4,372	266,066

Long-term debt (Note 11 and Schedule G).....	-	300,757,933
Other liabilities (Notes 14 and 21 and Schedule C).....	533,522	99,217
Provisions (Note 21 and Schedule E).....	3,145,536	3,137,742
Total Non-Current Liabilities.....	3,683,430	304,260,958
TOTAL LIABILITIES.....	604,929,282	424,299,595
SHAREHOLDERS' EQUITY.....	(457,738,737)	50,620,395
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY.....	147,190,545	474,919,990

The accompanying notes and schedules are an integral part of these unconsolidated financial statements.

See separate Auditor's report dated
March 10, 2003

PRICE WATERHOUSE & CO.

by (Partner)

C.P.C.E.C.A.B.A. To. 1 Fo. 1 R.A.P.U.
Gabriel R. Martini
Public Accountant (UBA)
C.P.C.E.C.A.B.A. To. 201 - Fo. 24

Hernan Gestoso
President

COMPANIA DE ALIMENTOS FARGO S.A.
UNCONSOLIDATED STATEMENT OF OPERATIONS
For the fiscal years ended December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)
(Notes 3 and 4)

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Net sales (Note 15).....	154,931,305	286,839,562
Cost of sales (Schedule F).....	(109,661,578)	(154,744,688)
Gross profit.....	45,269,727	132,094,874
Selling expenses (Schedule H).....	(46,635,114)	(99,395,543)
General and Administrative expenses (Schedule H).....	(14,463,761)	(28,181,430)
Operating (loss)/profit.....	(15,829,148)	4,517,901
Equity in gain/(loss) from controlled companies (Note 20)...	4,666,263	(2,256,423)
Amortization and impairment of value of goodwill (Schedule B).....	(264,308,944)	(57,622,615)
Other expenses and income, net (Note 16).....	(9,748,866)	(6,871,009)
Financial results, net (which include the gain/(loss) on exposure to inflation) (Note 17):		
Generated by assets.....	(38,233,283)	51,413
Generated by liabilities.....	(184,867,635)	(48,098,329)
Ordinary loss before minimum notional income tax.....	(508,321,613)	(110,279,062)
Minimum notional income tax (Schedule E).....	(37,519)	(10,151,544)
Ordinary loss.....	(508,359,132)	(120,430,606)
Extraordinary results (Note 25).....	-	(6,343,939)
Net loss for the year.....	(508,359,132)	(126,774,545)

The accompanying notes and schedules are an integral part of these unconsolidated financial statements.

See separate Auditor's report dated
March 10, 2003

PRICE WATERHOUSE & CO.

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President

COMPANIA DE ALIMENTOS FARGO S.A.
STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY
For the fiscal years ended December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with
Argentine generally accepted accounting standards)
(Notes 3 and 4)

	Shareholders' Contributions					
	Common stock (Note 18) (Pesos)	Adjustment on common stock (Pesos)	Irrevocable contributions (1) (Pesos)	Adjustment on Irrevocable contributions (1) (Pesos)	Paid-in capital (Pesos)	Total (Pesos)
Balances at the beginning of the year	124,011,990	146,260,399	13,645,275	16,093,309	9,399,346	309,410,319
Irrevocable contributions on account of future issues of shares	-	-	-	-	-	-
Conversion of irrevocable contributions into shares of common stock resolved by the Ordinary and Extraordinary Shareholders' Meeting held on October 17, 2002	13,693,370	1,562,467	(13,645,275)	(16,093,309)	14,482,747	-
Net loss for the year	-	-	-	-	-	-
Balances at December 31, 2002	137,705,360	147,822,866	-	-	23,882,093	309,410,319
Balances at December 31, 2001	124,011,990	146,260,399	13,645,275	16,093,309	9,399,346	309,410,319

	Accumulated deficit (Pesos)	Total Shareholders' Equity as of December 31, 2002 (Pesos)	Total Shareholders' Equity as of December 31, 2001 (Pesos)
Balances at the beginning of the year	(258,789,924)	50,620,395	169,450,408
Irrevocable contributions on account of future issues of shares	-	-	7,944,532
Conversion of irrevocable contributions into shares of common stock resolved by the Ordinary and Extraordinary Shareholders' Meeting held on October 17, 2002	-	-	-
Net loss for the year	(508,359,132)	(508,359,132)	(126,774,545)
Balances at December 31, 2002	(767,149,056)	(457,738,737)	-

Balances at December 31, 2001.....	(258,789,924)	-	50,620,395

(1) See Note 18.
The accompanying notes and schedules are an integral part of these unconsolidated financial statements.

See separate Auditor's report dated
March 10, 2003

PRICE WATERHOUSE & CO.

by (Partner)

C.P.C.E.C.A.B.A. To. 1 Fo. 1 R.A.P.U.
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President

COMPANIA DE ALIMENTOS FARGO S.A.
UNCONSOLIDATED STATEMENT OF CASH FLOWS
For the fiscal years ended December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)
(Notes 3 and 4)

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
CHANGES IN FUNDS		
Funds at the beginning of the year.....	6,445,759	10,931,282
Decrease in funds.....	(838,461)	(4,485,523)
Funds at the end of the year.....	5,607,298	6,445,759
CAUSES OF CHANGES IN FUNDS		
Net loss for the year.....	(508,359,132)	(126,774,545)
Plus: Items not entailing the use of funds		
Depreciation of property, plant and equipment.....	19,927,061	19,152,182
Equity in gain/(loss) from controlled companies.....	(4,666,263)	2,256,423
Net book value of other assets sold and decreases.....	165,096	461,319
Net book value of property, plant and equipment sold and decreases.....	1,199,273	171,212
Amortization and impairment of intangible assets.....	278,582,411	69,028,232
Accrued salaries, social security and indemnities pending payment.....	3,029,534	7,925,870
Increase in provision for lawsuits.....	2,056,269	845,720
Increase in allowance for doubtful accounts.....	5,451,449	10,473,698
Depreciation of other assets.....	206,204	247,585
Accrued interest pending payment.....	34,330,118	15,399,718
Accrued tax on corporate indebtedness.....	1,386,484	696,213
Unpaid accrued exchange differences.....	178,246,628	-
Holding on inventories.....	(5,040,493)	662,815
Restatement to constant currency of cash at beginning of year.....	(3,488,182)	-
Loss on exposure to inflation.....	2,276,446	-
Gain from the sale of property, plant and equipment in installments.....	-	(161,674)
Minimum notional income tax.....	37,519	10,151,544
Other.....	172,948	187,045
Changes in assets and liabilities		
Accounts payable.....	(2,385,544)	5,214,653
Accounts receivable.....	2,669,411	6,193,085
Other receivable.....	975,841	6,551,927
Inventories.....	(51,485)	592,106
Other assets.....	232,079	122,132
Salaries and social security payable.....	(4,018,786)	(1,141,511)
Taxes payable.....	126,922	(1,740,427)
Provision for lawsuits.....	(350,457)	(485,240)
Other liabilities.....	(1,004,962)	(272,992)

Total of funds provided by operating activities	1,706,389	25,757,090
Funds used in investments activities		
Acquisition of property, plant and equipment.....	(2,513,623)	(9,833,041)
Increase in intangible assets.....	(31,227)	(4,492,245)
Acquisition of subsidiaries.....	-	(1,845,673)
Irrevocable contributions on account of future issues of shares.....	-	(675,616)
Total of funds used in investments activities.....	(2,544,850)	(16,846,575)
Funds (used in) provided by financial activities		
Irrevocable contributions on account of future issues of shares.....	-	7,944,532
Decrease in loans.....	-	(21,340,570)
Total of funds used in financial activities.....	-	(13,396,038)
Decrease in funds.....	(838,461)	(4,485,523)
Supplemental cash flows information		
Non-cash financial activities		
- Conversion of accounts receivable into irrevocable contributions.....	898,380	2,192,072
- Conversion of other receivables into irrevocable contributions.....	-	205,274
- Sale of property, plant and equipment in installments.....	-	187,859
- Debt for the acquisition of subsidiaries.....	3,199,568	4,925,099
- Liabilities deducted from the purchase price of the subsidiary.....	-	7,344,720

The accompanying notes and schedules are an integral part of these unconsolidated financial statements.

See separate Auditor's report dated
March 10, 2003

PRICE WATERHOUSE & CO.

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C.P.C.E.C.A.B.A. To. 1 Fo. 1 R.A.P.U.
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COMPANIA DE ALIMENTOS FARGO S.A.
UNCONSOLIDATED STATEMENT OF CASH FLOWS
For the fiscal years ended December 31, 2002 and 2001
(Such statements were issued in local currency in accordance with Argentine generally accepted accounting standards)
(Notes 3 and 4)

Note 1: Company's Activities - Filing for Creditor Protection

Compania de Alimentos Fargo S.A. was organized under the laws of the Republic of Argentina in 1997, and registered with the Public Registry of Commerce of the City of Buenos Aires, under the name of "B and P S.A.".

In view of its corporate purpose, in October 1997 the Company acquired 84.3% of the shares in Fargo S.A., Panificacion Argentina S.A.I.C., Compania Fegopre de Valores Mobiliarios y Garantia S.A., Gouguenheim S.A., DACSA Distribuidora Argentina de Comestibles S.A.I.C.F.A., Pemsa S.A., Panino S.A. and Enicor S.A. (the latter company being located in Uruguay).

Subsequently, on May 29, 1998, the Company acquired the remaining minority interest (that is, 15.7% of the shares) in all the companies mentioned above, and sold its interest in Panino S.A., a company engaged in the manufacture of various types of sandwiches.

Effective June 1, 1998, in order to streamline its existing structures, improve its available resources through the unification of the operating, business, administrative, financial and personnel structures and the cutting

back of operating expenses, a merger was agreed between Compania de Alimentos Fargo S.A., as the merging and succeeding company, and Fargo S.A., Compania Fegopre de Valores Mobiliarios y Garantia S.A., Gouguenheim S.A., DACSA Distribuidora Argentina de Comestibles S.A.I.C.F.A. and Pemsa S.A., as the merged companies. As from that date, all the assets, liabilities, rights and obligations of the merged companies were transferred to Compania de Alimentos Fargo S.A., the latter carrying on with the business activities of the former companies.

Compania de Alimentos Fargo S.A. ("Fargo") is the largest producer and distributor of industrial bread and bakery products in Argentina, and has an approximate 54% share (measured based on volume) of the Argentine industrial bread market, which includes sliced bread and buns for hamburgers and hot dogs sold by retailers. Furthermore, Fargo is the only company that supplies buns to McDonald's in Argentina and one of the largest producers and distributors of frozen dough, which is used to bake traditional bread, including baguettes. The broad lines of products of the Company also include sweet products, tapas and other foodstuff products, which include those manufactured by the Company (breadcrumbs), and other products acquired from third parties.

Fargo has a larger installed manufacturing infrastructure and a larger distribution network than any other bread manufacturing company in Argentina, and markets its products under brands highly recognized on the market for their top quality, which include "Fargo", "Lactal", "Sacaan" and "Bertrand".

The main market for the products that Fargo manufactures is Argentina, with distribution centers located in various parts of the country, from where the demand for products is met. Nevertheless, Fargo has been exporting its products to Uruguay, marketing them through Enicor S.A., a subsidiary of the Company in that country. In 2001, the volume of those sales reached approximately 4.5% of total sales by the Company; but as a result of the distortion generated by the exchange regulations recently enacted in Uruguay (which do not allow companies to transfer foreign currency abroad to pay import amounts within a term of less than 180 days, regardless of the commercial conditions agreed by the parties), plus the specific duties that country has imposed on certain products, which include those exported by Fargo, such operation is now impossible and uneconomic. In view of the above, since July 2002 Enicor S.A. has ceased to import and sell its products.

Note 1: Company's Activities - Filing for Creditor Protection (Continued)

As in the case of most companies during the last decade, Fargo's industrial and business activities have been affected by the economic crisis Argentina has been enduring but, undoubtedly, the profound recession in which Argentina has been immersed for approximately four years now has led to decline in Fargo's sales levels and to a significant decrease in its profit margins, particularly during the last two years.

During the current year, as a consequence of the devaluation of the peso, the situation of Fargo worsened due to the following:

- The principal inputs used by the Company, such as flour, yeast, polyethylene, etc., are commodities and are therefore governed by international prices. As a result, the price of those inputs is directly affected by the fluctuations in the quotation of the US dollar.

- This situation led to increases of more than 250% in the price of the most essential inputs involved in the production process which, due to the market conditions, could not be passed on to prices and had to be absorbed by the Company, substantially affecting its results and liquidity levels, and consequently, its sales volume, which fell 25% compared with the same period of the previous year. This led to a reduction of the profit levels of the various lines of products.

- The volatility of the exchange rate sharply reduced the number of days allowed for payment to suppliers, which were down to 10 days. In addition, we were unable to reduce the number of days sales outstanding for approximately 50% of our sales which are made to the supermarket channel to less than an average ranging between 45 and 60 days. It should be noted that last year the Company paid its suppliers within an average term of approximately 90 days.

- Finally, the devaluation of the peso implemented by the Government in January 2002 has had a substantial impact on the financial debt of US$ 150 million; while there have been no significant changes in Fargo's income, a large portion of which is denominated in pesos.

Considering the impossibility of the Company meeting its short-term obligations as a result of the sharp drop in sales, the exhaustion of all available credit lines and the impossibility of meeting its financial obligations as detailed in Note 24 to these financial statements, the imminent expiry of refinancing agreed with strategic suppliers that will be impossible to meet and, mainly, the Company's current cash position which led Fargo to being unable to meet the mentioned refinancing, the Company decided to file for a creditors' composition, which was formalized before the courts on June 28, 2002.

The opening up of a creditors' composition was decided by the Court on August 13, 2002 under the file "Compania de Alimentos Fargo S.A. on creditors' composition" brought before the National Court of First Instance on Commercial Matters No. 20 headed by Raul Taillade, Secretariat No. 39 headed by Ana Amaya.

A plural Class A trusteeship was designated, in which Estudio Abigador, Collia y Vighenzoni with legal address at Uruguay 856 - 3rd "A" was designated Trustee in charge of proof of claims and Estudio Cardero, Rojas Muniz y Asociados with legal address at Doblas 674 - 2nd floor, both in the City of Buenos Aires, as General Trustee.

Note 1: Company's Activities - Filing for Creditor Protection (Continued)

It should be noted that as creditors existing prior to filing for creditors' composition must verify their credits before the trustee before March 28, 2003, at the closing date of these financial statements it is not possible to determine the final composition of the debts under the reorganization proceedings. At that moment it will be possible to finally determine the number of creditors and the computable capital for purposes of calculation of the necessary majorities to approve a composition. Accordingly, the amounts and payment terms contemplated in these financial statements are provisional, and could change according to the court file. The professional fees and expenses related to the composition have not been estimated or provided for since as the date of these financial statements they have not been quantified.

Note 2: Argentine Economic situation and its impact on the Company's Economic and Financial Position

Argentina is immersed in a critical economic situation. The main features of the current economic context are a major external debt burden, a financial system in crisis, country risk indicators far above normal average and an economic recession that has already lasted more than four years. This situation has led to a significant decrease in the demand for goods and services and a large rise in the level of unemployment. The Government's ability to comply with its commitments has been impaired, which led it to default in the payment of external debt services at the beginning of 2002. Furthermore, it is expected that there will be presidential elections during 2003.

To overcome the crisis the country is undergoing, as from December 2001 the government issued measures to restrict the free availability and circulation of cash and the transfer of foreign currency abroad. Subsequently, as from January 2002, laws, decrees and regulations were enacted that involved profound changes to the prevailing economic model (and the amendment of the Convertibility Law in force until then). Among the measures adopted was the establishment of a single free exchange market system, that led to a significant devaluation of the Argentine peso during the first months of 2002; the pesification of certain assets and liabilities in foreign currency held in Argentina and the resulting increase in local prices.

The Company is taking a variety of actions as a result of the present recession and to attempt to limit the negative impact on ongoing operations.

The impact generated by measures adopted to date by the Government on the financial position of the Company as of December 31, 2002 was calculated on

the basis of management present assessments. Actual results could differ from current management assessments. Therefore, the Company's financial statements may not include all adjustments that might ultimately result from these adverse conditions.

The future development of the economic crisis might require that the Government modify some measures adopted or issue additional regulations. Therefore, the Company's financial statements should be considered in the light of these circumstances.

The Company records significant indebtedness. At December 31, 2002, the financial debt recorded by the Company amounts to Ps. 564,671,403 which includes loans with financial entities for US$ 32,983,280 (principal and interest accrued up to closing date) and a debt with foreign holders of negotiable bonds issued by the Company for US$ 134,575,000 (due to the application of the Law on Reorganization and Insolvency Proceedings, this debt includes interest accrued only until the Company filed for creditor protection).

Note 2: Argentine Economic situation and its impact on the Company's Economic and Financial Position (Continued)

In addition, in the fiscal year ended on December 31, 2002 the Company recorded a net loss of Ps. 508,359,132, accumulated losses of Ps. 767,149,056 and a working capital deficit of Ps. 572,686,609. Company Management is currently defining and implementing an action plan to attempt these circumstances. While the Company believes that there are certain alternatives available, there can be no assurance that the Company will be successful in implementing any such alternatives or that any such alternatives, if implemented, will enable the Company to meet its obligations.

The financial statements have been prepared assuming that the Company will continue as a going concern. Therefore, these financial statements do not include any adjustments relating to the recoverability and classification of recorded asset amounts or the amounts and classification of liabilities that might be necessary should the Company be unable to continue as a going concern, requiring it to realize its assets and settle its liabilities, including contingent liabilities, in conditions other than those of the normal course of its business.

In view of these circumstances, in order for the Company to continue to operate normally, it is required to: 1) renegotiate satisfactorily all due dates of principal and interest payments and the terms and conditions of the financial loans and negotiable obligations, as well as its other liabilities, on the basis of its actual ability to pay debts and satisfactorily comply with the reorganization plan, 2) continue to adopt measures to overcome the loss of its capital stock and/or request that new capital contributions be made, which enable it to obtain the necessary funds to settle all its liabilities and commitments undertaken and to absorb or recover the depreciation of its fixed assets and amortization of goodwill.

Note 3: Financial Statement Presentation

As required by General Resolution No. 368/01, 398/02 and 415/02 of the National Securities Commission ("CNV"), the financial statements herein have been prepared pursuant to and following the manner established by the valuation and disclosure standards set forth by Technical Resolutions No. 5, 6, 8, 9, 10, 12 and 13 of the Argentine Federation of Professional Councils in Economic Sciences.

The financial statements as of December 31, 2001 are presented for comparative purposes, as required by professional accounting standards and have been restated in constant currency as of December 31, 2002. Certain reclassifications have been made to the financial statements as of December 31, 2001 in order to disclose the information contained in them consistently with that of the current year.

Note 4: Accounting Principles

1. In line with professional accounting standards and the requirements of the control bodies, these financial statements have been prepared without recognizing the changes in the purchasing power of the currency until December

31, 2001. As established by Resolution No. 3/2002 of the Professional Council in Economic Sciences of the Autonomous City of Buenos Aires, Resolution No. 240/02 of the FACPCE and Resolution No. 415/02 of the National Securities Commission, since January 1, 2002 the Company resumed the recognition of the effects of inflation in these financial statements. To this end, the restatement method established by Technical Pronouncement No. 6 of the FACPCE has been followed, considering that the accounting measurements originated prior to December 31, 2001 are stated in the currency value as of that date.

Note 4: Accounting Principles (Continued)

Financial results broken down as follows are shown in the statement of operations:

a. Financial results

b. Exchange differences

c. Holding results and result of exposure to changes in the purchasing power of the currency.

2. The following is a summary of significant accounting policies followed by the Company in the preparation of these financial statements. These policies have been applied consistently with those of the previous fiscal year:

a. Local currency assets and liabilities

The local currency assets and liabilities have been stated at their face value, including if applicable, accrued interest at the end of the year.

b. Foreign currency assets and liabilities

Foreign currency assets and liabilities were translated at the exchange rate prevailing on the balance sheet date, including if applicable, accrued interest at the end of the year.

c. Investments

Non-current:

- Equity investments in controlled companies:

  Equity investments in controlled companies have been accounted for using the equity method of accounting, based on their respective financial statements as of December 31, 2002, in accordance with the guidelines of Technical Resolutions No. 5 of the Argentine Federation of Professional Councils in Economic Sciences.

  The Company presents consolidated financial statements at December 31, 2002 together with those of Panificacion Argentina S.A.I.C., Enicor S.A., Capital Foods S.A., Fresh Food S.A. and Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A. as supplementary information.

- Properties:

  The real estate properties are stated at their fair market value as of October 31, 1997, based on an appraisal performed by independent professionals, less accumulated depreciation, calculated under the straight-line method over an estimated useful life of 50 years. The values of real estate thus determined were restated in the currency with a year-end value following the guidelines detailed in Section 1., net of the corresponding accumulated depreciation.

d. Accounts receivable

Accounts receivable are stated at estimated realizable values, net of the allowance for doubtful accounts which is considered by management to be

sufficient to meet any future losses related to uncollectible amounts.

Note 4: Accounting Principles (Continued)

e. Inventories

Inventories are stated at replacement cost and/or production cost at the end of the year, which does not exceed their recoverable values.

f. Property, plant and equipment

The real estate properties are stated at their fair market value as of October 31, 1997, based on an appraisal performed by independent professionals. The building improvements occurred after such date, have been valued at their acquisition cost restated in the currency with a year-end value following the guidelines detailed in Section 1.

The additions occurred up to August 31, 1995, are recorded at cost, adjusted for the cumulative inflation from the date of acquisition until August 31, 1995. Additions after August 31, 1995 are stated at their acquisition cost restated in the currency with a year-end value following the guidelines detailed in Section 1.

The software line includes the costs that were necessary to implement an integrated SAP R/3 administrative-accounting and management control system. These charges are being amortized following the straight-line method over five years as from the start-up date.

The values of the fixed assets thus determined are disclosed net of the corresponding accumulated depreciation, calculated using the straight-line method over the estimated useful lives of the related assets, which are specified below:

Assets	Years
Buildings	50
Buildings improvements	10
Machinery and equipment	10
Facilities	10
Computer hardware	5
Software	5
Furniture and Fixture	10
Vehicles	5
Molds, plastic trays, containers, platforms and cases	5
Spare parts	10

The values of the fixed assets, taken as a whole, do not exceed their recoverable value.

g. Intangible assets

Goodwill represents the excess of the purchase price for the companies' shares acquired over the fair value of their net assets.

Such values arose from the Company's (direct and indirect) purchase of shares in Fargo S.A., Pemsa S.A., Panificacion Argentina S.A.I.C., Panino S.A., Enicor S.A., Gouguenheim S.A., Distribuidora Argentina de Comestibles S.A.I.C.F.A., Compania FEGOPRE de Valores Mobiliarios y Garantia S.A., Fluxinvest S.A., Capital Foods S.A., Fresh Food S.A. and Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A. Goodwill has been restated in the currency with a year-end value following the guidelines detailed in Section 1, and amortized on a straight-line basis over 20 years as from the month following its addition.

Note 4: Accounting Principles (Continued)

However, as the Company performs regular evaluations for recoverability of the initial investment based on updated projections, as a result of the evaluations made throughout the current year, it decided to accelerate amortization of 100% of the residual value of goodwill generated on the purchase of shares in the companies mentioned in the previous paragraph, except in the case of Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A., for which a net book value of Ps. 3,652,569 is recorded.

Other intangible assets:

- Financing fees and expenses related to bank loan: Represent expenses and fees incurred in relation to the "Bridge Loan" obtained by the Company to issue the negotiable bonds mentioned in Note 24.a. These expenses were fully amortized following the straight-line method over term set for repaying the loan.

  Furthermore, this line also includes the expenses incurred by the "Senior Secured Revolving Credit Agreement" settled on July 27, 2000, as well as those corresponding to the "Amended and Restated Senior Secured Credit Agreement" mentioned in Note 24.b. As a result of the lack of payment of interest and the composition agreement mentioned in Note 1, during the current year the Company decided to accelerate amortization of the remaining accounting value of these charges.

- Expenses related to negotiable bonds: They correspond to costs and fees incurred in relation to the issuance and registration of negotiable bonds on July 27, 1998 and March 30, 1999.

- Reorganization and development of new projects expenses: They correspond to expenses incurred by the Company regarding its reorganization (purchase of the Company's shares and the merger process). These expenses are stated at cost and were fully amortized following the straight-line method over a three-year period beginning July 1, 1998. In addition, this line includes expenses relating to new projects, which were fully amortized following the straight line method from their implementation.

h. Other assets

- Spare parts:

Spare parts have been valued at their acquisition cost restated in the currency with a year-end value following the guidelines detailed in Section 1.

- Inactive Assets:

This line comprises items (mainly machinery) reclassified from Fixed Assets as they are no longer used. Management is currently evaluating the possibility of reincorporating these assets to the Company's normal activities, and therefore it decided to continue calculating depreciation under the same conditions considered for fixed assets, expensed against "Other income and expenses". These assets are valued at acquisition cost restated into year-end currency, following the guidelines detailed in Section 1, net of the corresponding accumulated depreciation calculated on a straight-line basis on the estimated useful life assigned to the assets.

Note 4: Accounting Principles (Continued)

- Assets delivered under a loan for use agreement:

These assets have been valued at their acquisition cost restated in the currency with a year-end value following the guidelines detailed in Section 1, net of the corresponding accumulated depreciation calculated on a straight-line basis based on the estimated useful life assigned to the assets.

- Promotional Materials:

These materials consist of promotional products used by the Company to promote and increase knowledge of its brand. These assets have been valued at their acquisition cost restated in the currency with a year-end value following the guidelines detailed in Section 1.

The value of other assets, taken as a whole, does not exceed their recoverable value.

i. Shareholders' equity

The capital adjustment and irrevocable contribution adjustment accounts represent the differences between the face values of the capital stock and the adjusted value of irrevocable contributions that were calculated according to the method described in Section 1, as well as the other shareholders' equity accounts.

The opening balances and movements for the year have been stated in constant monetary units at year end.

j. Income tax and tax on Minimum Notional Income ("Impuesto a la Ganancia Minima Presunta")

As a result of the accumulated tax loss carryforwards, the Company did not recognize an income tax provision at the end of the year.

Law No. 25,063 enacted a tax on minimum notional income for ten fiscal years (See Note 29.b.). This tax is supplementary to income tax, as while the latter is levied on the taxable net income for the year, the former is levied on the potential income from certain assets at a rate of 1%, and the Company must pay the higher of these two taxes.

Any excess of the tax on minimum notional income over and above income tax in a given fiscal year may be computed as a payment on account of the income tax to arise in the next ten fiscal years, as established by Law No. 25,360 published in the Official Bulletin dated December 12, 2000, thus amending the original term initially set at four fiscal years.

The tax on minimum notional income corresponding to the current year was considered as a non-current receivable, as shown in Note 7.

The Company periodically (annual) evaluates the recoverability of this tax based on updated projections; therefore Compania de Alimentos Fargo S.A. has covered their accumulated tax at December 31, 2002 with an allowance, because they have determined that the possibility of offsetting it with income tax to be generated in the terms mentioned above is uncertain.

Note 4: Accounting Principles (Continued)

k. Results for the year

Income and expense items have been disclosed in the currency values of the year to which they correspond, except for the charges for assets consumed (fixed asset depreciation, depreciation of other assets and intangible asset amortization) the amounts of which were determined based on the values of those assets. Such items have been adjusted for inflation applying the corresponding adjusting indexes to the historical amounts.

The gain/(loss) on exposure to inflation of the net monetary positions is the counterpart for the adjustments made to all non-monetary asset and liability and income and expense items that were restated in the currency with a year-end value.

l. Statement of cash flows

For purposes of presentation of the Statement of Cash Flow, cash and cash

equivalents as well as banks and readily realizable investments are treated as cash. The Company follows the indirect method, which calls for a series of adjustments to the results of the year in order to arrive at the funds generated by operations or used for them.

m. Use of estimates

The preparation of financial statements requires management to make estimates and assessments which affect the amounts of contingent assets and liabilities disclosed at the date of these financial statements, as well as the income and expenses recorded during the year. The Company's management makes estimates to calculate, for example, the allowance for bad debts and discounts, depreciation and amortization charges, the recoverable value of assets, the inventory and other asset obsolescence allowance and provisions for contingencies and taxes. However, the actual future results may differ from the estimates and assessments made at the date of these financial statements.

Note 5: Cash and banks

The breakdown of this caption is as follows:

	December 31,2002 (Pesos)	December 31,2001 (Pesos)
Cash (Schedule G).....	222,777	970,130
Petty cash.....	6,228	5,660
Banks in local currency and outstanding bonds.....	5,261,381	5,378,543
Banks in foreign currency (Schedule G).....	116,912	91,426
	5,607,298	6,445,759

Note 6: Accounts receivable, net

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Trade accounts receivable (Schedule G).....	9,075,529	42,903,387
Companies under article 33 Law 19,550 (Note 19 and Schedule G).....	4,826,861	3,981,778
Notes receivable.....	406,973	1,056,956
Less:		
Allowance for doubtful accounts (Schedule E).....	(2,235,409)	(10,871,491)
	12,073,954	37,070,630
Non-Current		
Notes receivable.....	86,683	890,902
Debtors under legal proceedings.....	2,797,784	5,690,320
Less:		
Allowance for doubtful accounts (Schedule E).....	(2,206,239)	(4,080,132)
	678,228	2,501,090

Note 7: Other receivables, net

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Tax credits and withholdings	33,034	2,014,923
Advances to suppliers (Schedule G)	455,472	765,154
Prepaid insurance (Schedule G)	7,609	14,759
Advances to employees	177,676	133,218
Prepaid expenses (Schedule G)	3,219	51,275
Receivables from legal proceedings	11,497	197,548
Other (Schedule G)	528,508	1,325,436
	1,217,015	4,502,313
Non-Current		
Asset tax credit	4,695,461	10,151,544
Allowance of asset tax credit (Schedule E)	(4,695,461)	(10,151,544)
Other (Schedule G)	8,250	62,017
	8,250	62,017

Note 8: Inventories

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Goods for resale	141,841	487,341
Finished goods	412,327	997,882
Work in process	147,844	310,328
Raw materials and packaging materials	6,332,261	4,465,767
Subtotal (Schedule F)	7,034,273	6,261,318
Advances to suppliers	930,816	355
	7,965,089	6,261,673

Note 9: Other assets

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Spare parts	2,376,094	2,260,159
Promotional material	252,874	270,068
Other	101,228	149,230
	2,730,196	2,679,457
Non-Current		
Spare parts	1,584,062	1,770,773

Inactive assets	566,364	747,832
Assets delivered on loan	408,435	616,500
	2,558,861	3,135,105

Note 10: Accounts payable

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Local suppliers (Schedule G)	18,345,032	44,925,925
Foreign suppliers	550,234	649,776
Companies under article 33 Law 19,550 (Note 19)	2,427,127	4,542,264
Unbilled by suppliers (Schedule G)	3,336,329	6,334,457
	24,658,722	56,452,422
Non-Current		
Local Suppliers	4,372	266,066
	4,372	266,066

Note 11: Short-term and long-term debt

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Short-term debt		
Negotiable bonds - Principal amount (1) (Schedule G)	404,400,000	-
Collateralized bank debt - Principal amount (1) (Schedule G)	101,100,000	26,152,864
Collateralized bank debt - Accrued interest (1) (Schedule G)	59,171,403	15,380,571
	564,671,403	41,533,435
Long-term debt		
Negotiable bonds - Principal amount (1) (Schedule G)	-	261,528,637
Collateralized bank debt - Principal amount (1) (Schedule G)	-	39,229,296
	-	300,757,933

(1) Details on issuance of negotiable bonds and of the Amended and Restated Senior Secured Credit Agreement are mentioned in Note 24 to the unconsolidated financial statements.

Note 12: Salaries and social security payable

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Salaries payable	736,526	2,677,711
Social security payable (1)	1,640,165	1,732,309
Accrual for vacation and other	785,994	2,833,717
Indemnities to personnel	785,000	3,515,850
	3,947,685	10,759,587

(1) As a result of its failure to pay its social securities obligations, the Company took part in a Payment Facilities Regime established by National Decree No. 338/02 covering debts with the Federal Administration of Public Revenue which fell due between January 7, 2002 and June 10, 2002 and between August 7, 2002 and October 7, 2002.

Note 13: Taxes payable

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Minimum notional income tax provision, net	25,960	-
Tax on corporate indebtedness (1)	1,432,977	696,213
VAT payable, net (1)	2,043,893	4,215,181
VAT withholdings	204,112	256,882
Income tax withholdings	102,393	237,913
Turnover tax payable, net	57,949	57,220
Turnover tax withholdings	82,856	171,595
Other	315,758	318,732
	4,265,898	5,953,736

(1) As a result of its failure to pay its tax obligations, the Company took part in a Payment Facilities Regime established by National Decree No. 338/02 covering debts with the Federal Administration of Public Revenue which fell due between October 1, 2001 and April 1, 2002.

Note 14: Other liabilities

The breakdown of this caption is as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Current		
Guarantee deposits received from customers	498,976	402,604
Debt for the acquisition of subsidiaries (Schedule G)	3,199,568	4,925,099
Indemnity agreements payable	3,600	7,846
Other	-	3,908

	3,702,144	5,339,457
Non-Current		
Guarantee deposits received from customers.....	-	10,080
Investments in companies under article 33 Law No. 19,550 (Schedule C).....	496,123	-
Indemnity agreements payable	35,400	82,382
Other.....	1,999	6,755
	533,522	99,217

COMPANIA DE ALIMENTOS FARGO S.A.
NOTES TO THE UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)

Note 15: Net sales

The breakdown of this caption is as follows:

	December 31, 2002 Gain / (loss) (Pesos)	December 31, 2001 Gain / (loss) (Pesos)
Sales of bakery products (1)	151,906,305	283,448,299
Sales of subproducts and other (1)	3,494,079	4,315,072
Exports reimbursements (2).....	218,860	405,223
Less:		
Sales turnover tax.....	(687,939)	(1,329,032)
	154,931,305	286,839,562

(1) Net sales are adjusted for discounts and returns, if applicable.
(2) Correspond to the percentage of the FOB value of exports, which was established through a Convergence Factor provided by Resolution No. 803/2001 of the Ministry of Economy and Public Works and Utilities, published in the Official Gazette on June 18, 2001, which regulates a temporary regime to foster exports. Furthermore, that line includes exports reimbursements, which under Resolution No. 220/2001, were reinstated for goods exported to Mercosur country members.

Note 16: Other expenses and income, net

The breakdown of this caption is as follows:

	December 31, 2002 Gain / (loss) (Pesos)	December 31, 2001 Gain / (loss) (Pesos)
Recovery of expenses.....	356,128	684,725
(Loss)/gain from the sale of property, plant and equipment.....	(976,382)	380,481
Indemnities to personnel.....	(4,110,755)	(5,252,125)
Write down of investments (Note 25.a)	(1,121,724)	-
Loss of write-off of obsolete material	(204,202)	(988,419)
Fees for advice for composition agreement.....	(1,113,061)	-
Bad debt - loan to Enicor S.A. (Schedule E).....	(1,501,023)	-
Legal expenses.....	(198,992)	-
Other (1).....	(878,855)	(1,695,671)
	(9,748,866)	(6,871,009)

(1) At December 31, 2001, the net book value of Ps. 421,606 of other unusable assets written off has been included.

Note 17: Financial results, net (which include the gain/(loss) on exposure to inflation)

The breakdown of this caption is as follows:

	December 31, 2002 Gain / (loss) (Pesos)	December 31, 2001 Gain / (loss) (Pesos)
Generated by assets:		
Interest Income	123,218	563,400
Exchange Differences	471,384	(10,852)
Holding on inventories and the gain/(loss) on exposure to inflation	(38,827,885)	(501,135)
	(38,233,283)	51,413
Generated by liabilities:		
Interest expenses	(34,330,118)	(42,370,706)
Exchange differences	(179,301,442)	(9,446)
Gain on exposure to inflation	45,101,412	-
Amortization of bank charges and loans expenses (Schedule B)	(3,206,124)	(1,269,755)
Amortization of expenses on issuance and registration of negotiable bonds (Schedule B)	(11,036,116)	(1,676,372)
Tax on corporate indebtedness	(1,386,484)	(2,011,890)
Other	(708,763)	(760,160)
	(184,867,635)	(48,098,329)
Net financial results	(223,100,918)	(48,046,916)

Note 18: Common stock

As of December 31, 2002, the Capital status was as follows:

Capital	(Pesos)	Date	Body	Date of Registration with the Public Registry of Commerce
Subscribed, issued and paid up	12,000	September 22, 1997	Initial Meeting to establish the Corporation	October 3, 1997
Subscribed, issued and paid up	95,048,000	October 30, 1997	Ordinary and Extraordinary Shareholders' Meeting	March 27, 1998
Subscribed, issued and paid up	28,951,980	May 29, 1998	Ordinary and Extraordinary Shareholders' Meeting	July 20, 1998
Subscribed, issued and paid up	10	June 1, 1998	Extraordinary Shareholders' Meeting	January 20, 1999
Subscribed, issued and paid			Ordinary and Extraordinary Shareholders'	In process of

up	13,693,370	October 17, 2002	Meeting	registration
	137,705,360			

Note 18: Common stock (Continued)

As of December 31, 2002, the common stock of the Company consisted of 13,770,536 ordinary, registered, non-endorsable shares with a face value of Ps.10 each and with one vote each.

Furthermore, 13,770,535 shares and 63% of another share, owned by Fargo Holding (Gibraltar), representing 99.999997% of the Company's capital stock, are Senior pledge on 85.079% and second degree pledge on 14.92%, according to a loan agreement entered into by the Company, as mentioned in Note 24.b.

On October 17, 2002, the Shareholders' Ordinary and Extraordinary meeting approved a capital increase as a result of the capitalization of irrevocable contributions on account of future subscription of shares amounting to Ps. 13,693,370. That increase was instrumented through the issue of 1,369,337 ordinary shares of Ps. 10 par value each, plus a global issue premium of Ps. 14,482,747 at values of December 31, 2002. At the date of issue of these financial statements the latter increase is in the process of registration with the control authorities.

Note 19: Companies under Article 33 Law 19,550

The balances and operations with companies under Art. 33 Law 19,550 as of December 31, 2002 and 2001 and for the fiscal years ended December 31, 2002 and 2001 are as follows:

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
ASSETS		
Accounts receivable		
Enicor S.A.	1,501,023	3,630,384
Establecimiento Elab.de Alimentos Sacaan de Argentina S.A.	3,325,838	351,394
Less:		
Allowance for doubtful accounts Enicor S.A (Schedule E)	(1,501,023)	-
Total assets	3,325,838	3,981,778
LIABILITIES		
Accounts payable		
Panificacion Argentina S.A.I.C.	2,212,954	4,403,916
Capital Foods S.A.	51,906	-
Fresh Food S.A.	162,267	138,348
Total Liabilities	2,427,127	4,542,264

Note 19: Companies under Article 33 Law 19,550 (Continued)

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
OPERATIONS		
Net sales		
Enicor S.A.	2,819,944	10,383,777
Panificacion Argentina S.A.I.C.	4,745,273	5,653,366
Capital Foods S.A.	29,501	109,391
Fresh Food S.A.	-	50,150
Interest from loans		
Global Foods Co. (1)	-	152,983
Capital Foods S.A.	-	4,245
Other income		
Panificacion Argentina S.A.I.C.		
Technical advisory services	75,915	130,764
Maintenance and preservation services of property, plant and equipment	230,783	397,524
Enicor S.A.		
Loss from the sale of other assets	-	(13,708)
Total income	7,901,416	16,868,492
Cost of sales		
Fresh Food S.A.	-	63,458
Cost of services received		
Panificacion Argentina S.A.I.C.	6,132,035	12,254,447
Capital Foods S.A.	-	481,372
Commissions paid		
Panificacion Argentina S.A.I.C.	467,990	398,164
Capital Foods S.A.	389,618	777,200
Fresh Food S.A.	206,587	226,473
Fees for services		
Establecimiento Elab.de Alimentos Sacaan de Argentina S.A.		
Technical advisory services	1,133,182	-
Leases		
Fresh Food S.A.	-	8,718
Total expenses	8,329,412	14,209,832

(1) Controlling Company of the majority shareholder of Compania de Alimentos Fargo S.A. as of December 31, 2001.

Note 20: Equity in gain/(loss) from controlled companies (Art. 33 Law No. 19,550)

Equity in gain/(loss) of controlled companies (Art. 33 Law No. 19,550) for the fiscal years ended December 31, 2002 and 2001 are as follows:

Panificacion Argentina	Capital	Fresh Food	Establecimiento Elaborador de Alimentos Sacaan de	December	December

	S.A.I.C. (Pesos)	Foods S.A. (Pesos)	Enicor S.A. (Pesos)	S.A. (Pesos)	Argentina S.A. (Pesos)	31, 2002 (Pesos) (1)	31, 2001 (Pesos)
Gain / (Loss)...	(1,090,532)	36,526	(1,505,990)	(186,779)	7,413,038	4,666,263	(2,256,423)

(1) Minority interests (See Schedule C) in the results and net worth of the companies controlled by the Company amount to Ps. (2) and Ps. 11, respectively, which as they are immaterial are not disclosed in the Company's consolidated financial statements.

Note 21: Additional information on assets and liabilities

The breakdown of assets and liabilities as of December 31, 2002 is as follows:

	Accounts receivable (Pesos)	Other receivables (Pesos)	Total (Pesos)
ASSETS			
To mature			
1st quarter 2003	8,251,296	986,144	9,237,440
2nd quarter 2003	90,917	24,002	114,919
3rd quarter 2003	61,883	110,000	171,883
4th quarter 2003	54,024	-	54,024
More than one year	678,228	8,250	686,478
Subtotal	9,136,348	1,128,396	10,264,744
No fixed term	384,889	57,355	442,244
Past due	3,230,945	39,514	3,270,459
Total	(1)12,752,182	1,225,265	13,977,447
Not accruing interest	12,752,182	1,225,265	13,977,447
At a fixed rate	-	-	-
Total	(1)12,752,182	1,225,265	13,977,447

(1) Shown net of the allowance for doubtful accounts.

Note 21: Additional information on assets and liabilities (Continued)

	Accounts payable (Pesos)	Short-term and long-term debt (Pesos)	Salaries and social security payable (Pesos)	Taxes payable (Pesos)	Other liabilities (Pesos)	Provisions (Pesos)	Total (Pesos)
LIABILITIES							
To mature							
1st quarter 2003	7,853,162	-	3,158,763	973,170	900	-	11,985,995
2nd quarter 2003	2,101	-	52	25,960	900	-	29,013

3rd quarter 2003.....	690	-	1,906	-	900	-	3,496
4th quarter 2003.....	690	-	970	-	900	-	2,560
More than one year.....	4,372	-	-	-	533,522	3,145,536	3,683,430
Subtotal.....	7,861,015	-	3,161,691	999,130	537,122	3,145,536	15,704,494
No fixed term	-	-	785,994	-	498,976	-	1,284,970
Past due.....	16,802,079	564,671,403	-	3,266,768	3,199,568	-	587,939,818
Total.....	24,663,094	564,671,403	3,947,685	4,265,898	4,235,666	3,145,536	604,929,282
Not accruing interest (3).....	24,458,644	59,171,403	3,069,647	2,525,988	4,235,666	-	93,461,348
At a fixed rate (1) (3).....	204,450	404,400,000	878,038	1,739,910	-	3,145,536	410,367,934
At a variable rate (2) (3)....	-	101,100,000	-	-	-	-	101,100,000
Total.....	24,663,094	564,671,403	3,947,685	4,265,898	4,235,666	3,145,536	604,929,282

(1) Negotiable bonds accrue interest at an annual rate of 13.25%.
(2) The loan agreement called "Amended and Restated Senior Secured Credit Agreement" accrues an annual interest rate of 9.6875%.
(3) Includes debts, the interest accruals of which have been suspended as from the date on which the Company filed for creditor protection.

Note 22: Assets collateralizing debt

Further to the information provided in Note 18 in connection with the new loan agreement referred to in Note 24.b., the Company has granted new security in favour of Bankers Trust Company, instead of the earlier security granted to it, as follows:

- Pledge on subsidiaries' shares: senior pledge on the Company's equity interests in its controlled companies Panificacion Argentina S.A.I.C., Capital Foods S.A. and Enicor S.A.

To comply with the provisions of the loan agreement, on May 24, 2001, a senior pledge was set up on Fresh Food S.A.'s shares that had been acquired by the Company. So far, the Company has not set up pledges on its shares in Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A. (Note 25).

- Pledge on trademarks: senior pledge with conveyance on certain trademarks owned by the Company, as well as of its controlled companies Panificacion Argentina S.A.I.C. and Capital Foods S.A. for up to US$ 30 million plus interest.

- Pledge on Machinery and Mortgages: senior pledges and mortgages with conveyance on certain machinery and properties owned by the Company and its controlled company Panificacion Argentina S.A.I.C. for up to US$ 30 million plus interest in each case.

Note 22: Assets collateralizing debt (Continued)

As of December 31, 2002, the breakdown of assets subject to a security interest is as follows:

Description	Book value	Institution that grants the loan	Amount owed at 12.31.02	Type of guarantee	
Properties.....	28,204,800	Bankers Trust Company	(2) 111,153,653	Mortgage	(3)
Machinery.....	15,696,786	Bankers Trust Company	(2) 111,153,653	Pledge	(3)
Trademarks.....	(1) -	Bankers Trust Company	(2) 111,153,653	Pledge	(3)

(1) As of December 31, 2002 they were fully amortized.
(2) This relates to the new loan agreement for US$ 30 million, plus

interest accrued at the end of the year (Note 24.b.).

(3) The principal secured is for up to US$ 30 million for each type of collateral.

Note 23: Guarantees received

a. In connection with the Share Purchase and Sale Agreements for shares of Fargo S.A. and its affiliated companies, dated August 21, 1997 and September 19, 1997, signed between The Exxel Group S.A. or the affiliates it designated ("the purchaser") and Messrs. Carlos F. Preiti, Vicente Sergio Fernandez, Nelida Beatriz Piva and Jacques Gouguenheim ("the sellers"), the latter granted a senior pledge in favor of the purchaser covering time certificates of deposit for US$ 9,000,000 for a maximum term of twenty-four months to indemnify the purchaser for any cost resulting from any breach of such agreements, if the total amount of such costs were to exceed a minimum amount of US$ 1,300,000 and US$ 500,000, respectively.

As the above-mentioned time limit expired on June 20, July 4 and October 3, 2000, Global Foods Co. authorized the escrow banks to release the guarantees in favor of the sellers, on the understanding that these claims are due, in some cases, to the normal course of business and that their costs were to be assumed by the Company. At the date of these financial statements, the amount guaranteed had been reduced to US$ 200,000.

b. On December 21, 2000, Compania de Alimentos Fargo S.A. and the former shareholders of Capital Foods S.A. signed an agreement, under which the latter guarantee possible payments, if the Company and its subsidiary were to pay the amounts resulting from certain legal claims started before the transfer of shares performed on March 8, 2000. The guarantee was set up by signing a promissory note for US$ 145,000 and a time deposit of US$ 75,000, which at its due date was deposited in a savings account open for that purpose in Prudential Securities (NY), in the name of the Notary Public involved.

At December 31, 2002 the Company considers that these amounts are sufficient to cover the potential legal claims that are being guaranteed, so that there would be no further costs derived from the mentioned agreement that should be borne by the Company.

Note 24: Status of the Financial Debt (Negotiable Bonds and Loan Agreement)

a. On July 27, 1998, the Company issued non-convertible negotiable bonds pursuant to Law No. 23,576 and amendments for a total amount of US$ 120 million, the principal of which will be redeemed on August 1, 2008. The negotiable bonds accrue interest at a rate of 13 1/4% per annum payable semi-annually in arrears on August 1 and February 1 of each year, commencing on February 1, 1999.

Note 24: Status of the Financial Debt (Negotiable Bonds and Loan Agreement) (Continued)

As a result of this issuance of negotiable bonds, Compania de Alimentos Fargo S.A. undertook, the following obligations, among others:

- Certain restrictions on the distribution of dividends;

- Certain restrictions and limitations on indebtedness by the Company and its subsidiaries and

- Certain restrictions on capital investments made by the Company and its related companies.

The Company used the proceeds from the issuance of the negotiable bonds mainly for the settlement of the liability related to the Senior Loan known as the "Senior Secured Bridge Loan Agreement" with BT Alex, Brown Incorporated, acting as arranger, Bankers Trust Company, acting as agent bank and other banks as lenders under the Senior Loan, for a principal amount of US$ 110 million plus accrued interest at the redemption date.

In accordance with Law No. 25,063, effective January 1, 1999 interest on negotiable bonds is subject to a 15% tax on financial indebtedness. Subsequently, Law No. 25,360, published in the Official Bulletin on December

12, 2000, established a tax rate abatement schedule starting on January 1, 2001 and end to June 30, 2002, up to the final repeal of this tax on July 1, 2002.

As explained above, on October 31, 2001, the Company benefited from certain exemptions established by Decree 1054/01 (Note 29), which refer to exemption from tax on interest paid and tax on corporate indebtedness, established by Law No. 25,063 as amended.

Because of the Company's difficult economic situation and the deep economic crisis in Argentina, the Company failed to pay the interest accrued on negotiable obligations in the amount of US$ 15.9 million, which became due on February 1, 2002 and August 1, 2002. The Company communicated these non-fulfillment to the regulatory agencies in due time and also informed Citibank N.A., as trustee, about its intention to restructure its obligations under the trust agreement in order to reflect Argentina's present prospects and the Company's ability to generate cash flows.

After the closing of the year, the Company failed to make payment of interest accrued on negotiable obligations amounting to US$ 7.9 million, which fell due on February 1, 2003.

In view of the above and considering that the Company did not regularize that situation within the term of 30 days established by the mentioned agreement, by giving notice in writing to the Company, the trustee or the bondholders of negotiable obligations representing at least 25% of the total amount of principal due, or the trustee at the request in writing from those bondholders, can declare all terms established in the trust agreement overdue, so that all amounts due under the trust agreement will be immediately claimable.

At any time once all the terms have been declared lapsed, as mentioned above, and until the trustee or any of the bondholders obtain a ruling for the payment of the amounts owed under the trust agreement, the bondholders representing the majority of the amounts owed, through a written notification to the trustee and the Company, can revoke such statement and its consequences, provided (i) the Company pays to, or deposits with, the trustee an amount which is sufficient to cover the payment of all interest due, unpaid principal (owed for reasons other than the declaration of lapsing), additional amounts or premiums, if applicable, which may be due and payable plus interest accrued on those amounts and any expenses incurred by the trustee, its agents or advisors, and (ii) all other non-fulfillment, if any, is remedied or waived.

Note 24: Status of the Financial Debt (Negotiable Bonds and Loan Agreement) (Continued)

The above does not infringe the bondholders' individual rights, as they are entitled to file a summary lawsuit against the Company to claim payment of the principal, interest, and additional amounts, if any, which may be due and payable under section 29 of the Negotiable Obligations Law.

b. On July 27, 2000, the Company entered into a new renewable loan agreement called "Amended and Restated Senior Secured Credit Agreement" for up to US$ 30 million with Bankers Trust Company (as administrative agent), Deutsche Bank S.A. (as guarantee agent) and Deutsche Bank Securities Inc, (as organizing agent).

This loan fully amends and orders the previous agreement dated March 19, 1999 called "Senior Secured Credit Agreement" for up to US$ 20 million. On July 29, 1999 and January 27, 2000, the funds from this credit line were allocated to the settlement of interest on the negotiable obligations, which became due on August 1, 1999 and February 1, 2000.

The new loan agreement accrues annual interest payable quarterly at a LIBO rate in line with clause 1.6 of the agreement. The loan is repayable in seven semi-annual installments as from August 1, 2001 and ending on May 1, 2004. Early repayments of the loan are allowed at no additional cost, but must be for a principal amount of at least US$ 5 million.

The proceeds of the loan were used for settling the earlier loan for US$ 20 million, as well as for settling the interest on the negotiable bonds maturing on August 1, 2000.

Under the terms of the current loan, the Company has extended the security granted under the earlier agreement in favour of Bankers Trust Company, mentioned in Note 22.

Under the terms of this loan agreement, Compania de Alimentos Fargo S.A. assumed the responsibilities detailed below, among others:

- Certain restrictions on the distribution of dividends;

- Certain restrictions and limitations to the Company and its subsidiaries' indebtedness and the maintaining of ratios of indebtedness to results, and compliance with other economic and financial ratios;

- Certain restrictions on the Company's and its subsidiaries' capital investments.

The Company has failed to comply with a substantial portion of the economic and financial indicators included in the loan agreement, as well as the payment of the principal installments for US$ 1.5 million, US$ 2 million, US$ 4 million and US$ 4.5 million, which were due on August 1 and November 1, 2001, May 1, 2002 and November 1, 2002, respectively. In addition, the Company also failed to comply with the payment of interest on this loan for US$ 650,389, US$ 601,368, US$ 646,875 and US$ 653,200, which was due on February 1, 2002, May 1, 2002, August 1, 2002 and November 1, 2002, respectively.

In addition, after the close of the year, the Company had not paid interest accrued on that loan for US$ 664,854, which fell due on February 3, 2003.

If the Company does not remedy the present situation or does not reach an agreement, the administrative agent (Bankers Trust Company "B.T.") can request the early repayment of the entire loan amount, or foreclose the corresponding guarantees.

Note 25: Acquisition of Subsidiary companies

a. Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A.

On December 29, 1999, the Company signed a share purchase and sale agreement for 99.99% of the corporate capital and votes of Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A., a deal which was to be closed subject to the compliance with certain conditions set out in the agreement.

On March 6, 2002, the parties agreed to close the purchase of 100% of the corporate capital and votes of the company mentioned above by the Company, effective as from December 31, 2001.

On June 5, 2002, the Company transferred to Panificacion Argentina S.A.I.C. an ordinary, registered, non-endorsable share, with a face value of de Ps. 10 and entitled to one vote, which represents 0.0014% of the capital stock and voting rights of Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A.

At December 31, 2002, the balance of the price for this acquisition is approximately US$ 3,2 million.

In addition, during the current year, even though the Company continued to be affected by the profound economic recession, it had to recognize a higher value of Ps. 1,121,724 in respect of the debt for the acquisition of the subsidiaries without a counterpart in the allocation of values to assets, so such value had to be expensed as "Write down of investments" and included in Other expenses and income, net.

Furthermore, in fiscal year 2001, the Company resolved to write down the investment in that company and provide for the debit balances of Ps. 6,343,939 held with it prior to its acquisition.

b. Fresh Food S.A.

On November 17, 2000, the Company entered into a purchase and sale

agreement involving 100% of the shares and votes of Fresh Food S.A., a company dedicated to manufacturing sandwiches.

On March 30, 2001, the Company consummated the transaction as a result of the approval granted by the CNDC on February 26, 2001 in accordance with Law No. 25,156. The final purchase price amounted to US$ 192,000, payable in 24 installments monthly and consecutive basis. At December 31, 2002, the amount owed by the Company is Ps. 88,000.

Note 26: Agreement covering the assignment of brands and manufacturing services

a. Panificacion Argentina S.A.I.C.

On December 28, 1999 the Company entered into an agreement with Panificacion Argentina S.A.I.C., to take effect on January 1, 2000, under which the latter transferred the use of its brands, isotypes, logotypes, designs and marketing images to the Company and as a counterpart the Company undertakes to pay it royalties at a given percentage of the net sales of the products marketed under the Panificacion Argentina S.A.I.C. brands.

Furthermore, Panificacion Argentina S.A.I.C. manufactures foodstuffs at the requirement of the Company for subsequent marketing, and in this respect charges Compania de Alimentos Fargo S.A., a fee.

Note 26: Agreement covering the assignment of brands and manufacturing services (Continued)

b. Capital Foods S.A.

On July 31, 2001, an amendment was made to the agreement signed with Capital Foods S.A. on November 10, 2000, under which the latter authorized the Company to market certain products manufactured by it under the "Antojos" brand, for which the Company must pay a royalty which is calculated as a percentage of the net sales of the products sold under the brand owned by Capital Foods S.A.

c. Fresh Food S.A.

On July 31, 2001, an amendment was made to the agreement signed with Fresh Food S.A. on June 1, 2001, under which the former shall manufacture and market its subsidiary's products, under the "Fresh Food" trademark. The Company will pay a commission on the net sales of the products marketed under such trademark.

d. Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A.

On January 2, 2002, the Company executed an agreement with Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A., whereby the latter will provide the Company with advisory, planning and supervision services with regard to its manufacturing processes and, the Company will pay the subsidiary a fee as a valuable consideration.

Note 27: Irrevocable contributions on account of future issues of shares in Enicor S.A.

On March 25, 2002, the Board of Directors of Compania de Alimentos Fargo S.A. approved the transformation of certain receivables that the Company had with Enicor S.A. into irrevocable capital contributions for US$ 299,460 on account of future issuances of shares.

Note 28: Loss of Capital Stock

As of December 31, 2002, the Company recorded a deficit of Ps. 457,738,737 in its shareholders' equity. This situation is envisaged in Section 94 subsection 5 of the Corporations Law No. 19,550, which establishes that the loss of the corporate capital is a grounds for the dissolution of companies.

However, in view of the crisis affecting Argentina, through Decree 1269/02 passed on July 17, 2002, the National Executive Branch suspended the application of Sections 94, subsection 5 and 206 of the Corporations Law until

December 10, 2003.

Note 29: Benefit from certain exemptions established by Decree 1054/01

On October 31, 2001, the Official Gazette included the Company as beneficiary of the exemptions granted under Decree No. 1054/01, issued by the Executive Branch on August 22, 2001. These benefits are in force as from the day following publication.

The Decree grants tax benefits to certain economic activities in order to improve their competitiveness and job-generation possibilities. The Decree provides that individuals or entities carrying out certain economic activities, as listed therein, will be entitled to the following benefits:

a. Exemption from Tax on Interest Paid and on Corporate Indebtedness established by Law No. 25,063, as amended.

Note 29: Benefit from certain exemptions established by Decree 1054/01 (Continued)

b. Consideration of the value of the assets used in the economic activity carried out in Argentina and encompassed by the Decree, as non computable for purposes of the Tax on Minimum Notional Income established by Law No. 25,063, as amended.

c. Consideration as input value added tax of employer contributions accrued during the fiscal year and actually deposited at the time of filing the corresponding tax return.

Subsequently, Decree No. 1676/01 published in the Official Gazette on December 20, 2001 suspended the application of point c) above until March 31, 2003.

Note 30: Termination of rental contract and product supply contract with Supermercados Norte S.A.

As a consequence of the action plans implemented by the Company to rebuild the profitability of the various lines of products, on September 26, 2002 a contract was entered into with Supermercados Norte S.A. establishing the termination of the rental contract of the plant belonging to the latter in Tortuguitas -Province of Buenos Aires- as well as the contract for the supply of fresh bread, cakes, pasta and other products, both in effect since September 1998.

The agreement established that Supermercados Norte S.A. assumed payment of up to Ps. 761,400 corresponding to indemnities payable to dismissed plant personnel. The Company assumed a charge of approximately Ps. 400,000, and no amount is pending payment at the closing of these financial statements.

Note 31: Subsequent Events

a) On January 28, 2003, the controlling stock of Compania de Alimentos Fargo S.A. was transferred through the assignment of 100% of the shares making up the capital stock of the Company's indirect parent (Global Foods Co), in favor of the "Global Foods Trust", an ordinary trust set up under the laws of the Republic of Panama. As a consequence of this change, a new board of directors was appointed.

b) On August 29, 2001 an overall inspection was carried out at the Company under Inspection Order No. 808/7, during which tax information for fiscal periods 2000 and 2001 was requested, continuing with information for unexpired periods.

On February 3, 2003 the tax authorities notified the Company that it had partially violated section 36 of Law No. 23,576 referred to the placement of negotiable obligations, which resulted in the suspension of tax benefits related to income tax withholdings from foreign beneficiaries. This assumption resulted in calculation of debt of approximately Ps. 25,800,000.

On February 28, 2003 the Company replied to the notice requesting revocation of the assessment on grounds of inconsistency and provided the tax authorities with supporting evidence and documentation to demonstrate compliance with the mentioned law. The Company is waiting for a favorable ruling to be issued in this respect and considers that the tax authorities will approve the request as it has all the necessary elements to close the case.

Compania de Alimentos Fargo S.A.
For the fiscal years ended December 31, 2002 and 2001
Unconsolidated Property, plant and equipment, net

Schedule A

Principal Account	Original Value: At the beginning of the year (Pesos)	Additions (Pesos)	Decreases (Pesos)	Transfers (Pesos)	Reclassifications (3) (Pesos)	Value at the end of the year (Pesos)	Depreciation: Acculated at the beginning of the year (Pesos)	Decreases (Pesos)
Land	9,165,061	-	-	-	23,463	9,188,524	-	-
Buildings	31,026,561	283,672	(15,829)	956,399	68,991	32,319,794	7,291,510	(12,560)
Machinery and equipment	86,491,969	7,758	(1,512,574)	15,479	-	85,002,632	46,576,350	(550,128)
Facilities	20,377,142	38,493	(57,920)	32,813	-	20,390,528	10,633,900	(47,495)
Computer hardware	5,169,084	76,161	(19,695)	-	-	5,225,550	2,457,502	(7,167)
Software	18,598,504	2,561	-	-	-	18,601,065	7,645,854	-
Furniture and fixtures	6,596,319	26,515	(3,067)	2,495	-	6,622,262	3,944,685	(3,067)
Vehicles	4,072,170	-	(308,383)	-	-	3,763,787	3,918,549	(305,013)
Molds, plastic trays, cntainers, platforms and cases	22,399,609	1,173,880	(503,432)	232,013	-	23,302,070	15,808,890	(466,816)
Spare parts	566,860	-	-	-	-	566,860	318,957	-
Work in progress	1,537,449	449,044	(174)	(781,500)	-	1,204,819	-	-
Advances to suppliers (2)	448,861	455,539	(170,445)	(457,699)	-	276,256	-	-
Total as of December 31, 2002	206,449,589	2,513,623	(2,591,519)	-	92,454	206,464,147	98,596,197	(1,392,246)
Total as of December 31, 2001	198,554,566	9,833,041	(2,044,101)	-	106,083	206,449,589	81,187,492	(1,846,704)

Principal account	Depreciation: Reclassification (3) (Pesos)	Depreciation: For the year (1) (Pesos)	Depreciation: Accumulated at the end of the year (Pesos)	Net carrying value as of December 31, 2002 (Pesos)	Net carrying value as of December 31, 2001 (Pesos)
Land	-	-	-	9,188,524	9,165,061
Buildings	34,810	2,070,934	9,384,694	22,935,100	23,735,051
Machinery and equipment	-	8,293,439	54,319,661	30,682,971	39,915,619
Facilities	-	1,958,830	12,545,235	7,845,293	9,743,242
Computer hardware	-	925,081	3,375,416	1,850,134	2,711,582
Software	-	3,528,342	11,174,196	7,426,869	10,952,650
Furniture and fixtures	-	516,680	4,458,298	2,163,964	2,651,634
Vehicles	-	105,870	3,719,406	44,381	153,621
Molds, plastic trays, containers, platforms and cases	-	2,474,042	17,816,116	5,485,954	6,590,719
Spare parts	-	53,843	372,800	194,060	247,903
Work in progress	-	-	-	1,204,819	1,537,449
Advances to suppliers (2)	-	-	-	276,256	448,861
Total as of December 31, 2002	34,810	19,927,061	117,165,822	89,298,325	-
Total as of December 31, 2001	103,227	19,152,189	98,596,197	-	107,853,392

(1) Shown in Schedule H.
(2) See Schedule G.
(3) Reclasification from other investments.

Compania de Alimentos Fargo S.A.
For the fiscal years ended December 31, 2002 and 2001
Unconsolidated Intangible Assets, net

Schedule B

Principal amount	Original Value: At the beginning of the year (Pesos)	Original Value: Additions (Pesos)	Original Value: As of the end of the year (Pesos)	Amortization: Accumulated at the beginning of the year (Pesos)	Amortization: For the year (Pesos)
Goodwill	393,657,438	-	393,657,438	125,695,925	264,308,944
Fees and expenses re. Bank loans	18,441,021	-	18,441,021	15,234,897	3,206,124
Trademarks	217,941	-	217,941	217,941	-
Advertising expenses	1,591,286	-	1,591,286	1,591,286	-
Expenses re. Issuance and registration of negotiable bonds	16,562,650	-	16,562,650	5,526,534	11,036,116
Reorganization and development of new projects expenses	13,895,196	31,227	13,926,423	13,895,196	31,227
Total as of December 31, 2002	444,365,532	31,227	444,396,759	162,161,779	(1) 278,582,411
Total as of December 31, 2001	417,843,612	26,521,920	444,365,532	93,133,547	(2) 69,028,232

Schedule B

Principal amount	Amortization: Accumulated as of the emd the year (Pesos)	Net carrying value as of December 31, 2002 (Pesos)	Net carrying value as of December 31, 2001 (Pesos)
Goodwill	390,004,869	3,652,569	267,916,513
Fees and expenses re. Bank loans	18,441,021	-	3,206,124
Trademarks	217,941	-	-
Advertising expenses	1,591,286	-	-
Expenses re. Issuance and registration of negotiable bonds	16,562,650	-	11,036,116
Reorganization and development of new projects expenses	13,926,432	-	-
Total as of December 31, 2002	440,744,190	3,652,569	-
Total as of December 31, 2001	162,161,779	-	282,203,753

(1) Ps. 14,242,240 are included in "Financial results, net (which include the gain/(loss) on exposure to inflation)" (Note 17), Ps. 264,308,944 in Statement of Operations and Ps. 31,227 in Schedule H.
(2) Ps. 2,946,127 are included in "Financial results, net (which include the gain/(loss) on exposure to inflation)" (Note 17), Ps. 57,622,615 in Statement of Operations and Ps. 8,459,490 in Schedule H.

Compania de Alimentos Fargo S.A.
For the fiscal years ended December 31, 2002 and 2001
Unconsolidated Share interest in other Companies

Schedule C

Issuer and characteristics of the securities	Characteristics: Type	Face Value	Number of shares	Quoted market value	Bood value as of December 31, 2002	Book value as of December 31, 2001	Information of the issuer (last financial statements as of December 31, 2002): Principal activity	Common stock
Non-current investments Companies Art. 33 Law 19,550								
Panificacion Argentina S.A.I.C.....	Ordinary	1	2,994,501	-	Ps.13,108,255	Ps.14,198,786	Manufacturing and trading of bakery products	2,994,501
Capital Foods S.A.....	Ordinary	1	11,999	-	Ps. 116,846	Ps. 80,320	Granting of franchising, manufacturing and trading of bakery products	12,000
Enicor S.A. (R.O.U.) (6).....	Ordinary	M$N (Pesos Uruguayos) 1	113,000	-	Ps. (496,123)	Ps. 570,390	Import and trading of bakery products	20,883
Fresh Food S.A.....	Ordinary	1	321,999	-	Ps. 301,739	Ps. 488,520	Manufacturing and trading of bakery products	322,000
Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A.....	Ordinary	10	69,999	-	Ps. 7,601,275	Ps. 6,532,172	Manufacturing and trading of bakery products	700,000
Total					Ps.20,631,992	Ps.21,870,188		

Schedule C

	Information of the issuer (last financial statements as of December 31, 2002): Results for the year (01.01.02/ 12.31.02)	Shareholders' Equity	Percentage of votes
Non-current investments Companies Art. 33 Law 19,550			

Panificacion Argentina S.A.I.C.....	(1,090,425)	13,108,361	(1)	99,9999%
Capital Foods S.A.....	36,526	116,846	(2)	99,9917%
Enicor S.A. (R.O.U.) (6).....	(3,007,444)	(1,997,577)		100%
Fresh Food S.A.....	(186,779)	301,739	(3)	99,9997%
Establecimiento Elaborador de Alimentos Sacaan de Argentina S.A.....	7,563,678	(2,961,601)	(5)	99,9986%
Total				

(1) The minority interest belongs to a part equal to 0.00099% of 1 share.
(2) The minority interest belongs to 0.0083%.
(3) The minority interest belongs to 0.0003%.
(4) In calculating the value of this investment, consideration was given to the current value of the assets and liabilities of the subsidiary, therefore increasing the value of the investment by Ps. 10,562,982.
(5) The 0.0014% minority interest belongs to Panificacion Argentina S.A.I.C.
(6) The equity interests in Enicor S.A., which has a negative net worth is included under other Non-Current Liabilities.

Compania de Alimentos Fargo S.A.
Unconsolidated Balance Sheet as of December 31, 2002 and 2001
Other Investments

Schedule D

Principal account and characteristics	Net book value as of December 31, 2002 (Pesos)	Net book value as of December 31, 2001 (Pesos)
Non-Current		
Properties - Net carrying value.....	272,645	334,613
Total	272,645	334,613

Compania de Alimentos Fargo S.A.
For the fiscal years ended December 31, 2002 and 2001
Unconsolidated Provisions

Schedule E

Items	Value at the beginning of the year (Pesos)	Additions for the year (Pesos)	Deductions for the year (Pesos)	Balance as of December 31, 2002 (Pesos)	Balance as of December 31, 2001 (Pesos)

Deducted from assets						
Allowance for doubtful accounts (Note 25)	14,951,623	(1) 5,451,449	(15,961,424)	4,441,648	14,951,623
Allowance of assets tax credit	10,151,544	37,519	(5,493,602)	4,695,461	10,151,544
Total deducted from assets	25,103,167	5,488,968	(21,455,026)	9,137,109	25,103,167
Included under non-current liabilities					
Provisions for lawsuits and other contingencies	3,137,742	2,056,269	(2,048,475)	3,145,536	3,137,742
Total included under non-current liabilities	3,137,742	(3) 2,056,269	(2,048,475)	3,145,536	3,137,742
Total as of December 31, 2002	28,240,909	7,545,237	(2) (23,503,501)	12,282,645	-
Total as of December 31, 2001	7,617,867	21,470,963	(847,921)	-	28,240,909

(1) Ps. 3,835,712 have been included in Schedule H, Ps. 1,501,023 in "Other expenses and income, net" (Note 16) and Ps. 114,714 in "Import and export expenses" in Schedule H.
(2) Ps. 16,136,038 have been included in "Financial results, net (which include the gain/(loss) on exposure to inflation)" (Note 17) due to the restatement to constant currency of the opening balances and Ps. 7,367,463 corresponding to uses for the year.
(3) Ps. 1,908,769 have been included in Schedule H and Ps. 147,500 in "Other expenses and income, net" (Note 16).

Compania de Alimentos Fargo S.A.
For the fiscal years ended December 31, 2002 and 2001
Unconsolidated Cost of sales

Schedule F

	December 31, 2002 (Pesos)	December 31, 2001 (Pesos)
Inventory balance at the beginning of the year	6,261,318	7,484,492
Plus:		
Purchases for the year	68,539,368	78,624,483
Production expenses (Schedule H)	41,895,165	74,897,031
Less:		
Inventory balance at the end of the year (Note 8)	(7,034,273)	(6,261,318)
Cost of sales	109,661,578	154,744,688

Compania de Alimentos Fargo S.A.
Unconsolidated Balance Sheet as of December 31, 2002 and 2001
Foreign Currency Assets and Liabilities

Schedule G

December 31, 2002	December 31, 2001

	Type and amount of foreign currency	Current exchange rate (1)	Amount in local currency (Pesos)	Type and amount of foreign currency	Amount in local currency (Pesos)
ASSETS					
Current Assets					
Cash and banks	US$ 36,715	3.37	123,730	US$ 42,957	93,621
Accounts receivable	US$ 593,658	3.37	2,000,627	US$ 1,833,494	3,995,927
Other receivables	US$ 480	3.37	1,617	US$ 72,571	158,162
Total Current Assets			2,125,974		4,247,710
Non-Current Assets					
Other receivables	US$ -		-	US$ 8,670	18,895
Advances to suppliers (purchase of property, plant and equipment)	US$ 44,000	3.37	148,280	US$ 99,583	217,032
Total Non-Current Assets			148,280		235,927
Total Assets			2,274,254		4,483,637
LIABILITIES					
Current Liabilities					
Accounts payable	US$ 498,522	3.37	1,680,019	US$ 1,539,684	3,355,595
Short-term debt	US$167,558,280	3.37	564,671,403	US$ 19,057,233	41,533,435
Other liabilities	US$ -		-	US$ 2,259,836	4,925,099
Total Current Liabilities			566,351,422		49,814,129
Non-Current Liabilities					
Long-term debt	US$ -		-	US$138,000,000	300,757,933
Total Non-Current Liabilities			-		300,757,933
Total Liabilities			566,351,422		350,572,062

(1) Average exchange rate in effect at December 31, 2002 established by Banco Nacion Argentina.

Compania de Alimentos Fargo S.A.
Unconsolidated Information required under Art. 64, clause (b) of Law 19,550
For the fiscal years ended December 31, 2002 and 2001

Schedule H

Item	Production Cost (Pesos)	General and Administrative Expenses (Pesos)	Selling Expenses (Pesos)	Total as of December 31, 2002 (Pesos)	Total as of December 31, 2001 (Pesos)
Fees and payments for services	7,882,117	2,454,032	2,020,534	12,356,683	27,074,133
Salaries and wages	10,572,867	5,291,811	6,501,122	22,365,800	51,703,575
Social security contributions	2,987,685	419,957	822,488	4,230,130	8,491,063
Travel and other employee expenses	448,317	902,125	609,208	1,959,650	4,999,013
Freight and transportation	56,947	1,006	11,620,352	11,678,305	22,225,710
Advertising and promotion	13,384	21,291	11,469,811	11,504,486	29,466,863
Insurance	100,740	59,976	170,162	330,878	636,800
Import and export expenses	9,174	4,715	293,469	307,358	454,964
Security services	325,899	43,960	172,349	542,208	1,419,658
Electricity, fuel, maintenance and repairs	3,228,995	879,133	1,050,063	5,158,191	11,087,415
Taxes and contributions	1,056,573	1,198,937	1,199,627	3,455,137	5,963,302
Depreciation of fixed assets	13,892,004	2,418,327	3,616,730	19,927,061	19,152,182
Amortization of other intangible assets	-	31,227	-	31,227	8,459,490

Depreciation of other assets	-	-	206,204	206,204	247,585
Defaulting debtors	-	-	3,835,712	3,835,712	4,129,759
Lawsuits.....	602,777	45,563	1,260,429	1,908,769	845,720
Leases.....	174,917	112,244	943,490	1,230,651	2,692,857
Other.....	542,769	579,457	843,364	1,965,590	3,423,915
Total as of December 31, 2002.....	41,895,165	14,463,761	46,635,114	102,994,040	-
Total as of December 31, 2001.....	74,897,031	28,181,430	99,395,543	-	202,474,004

(Free translation of the report issued for Argentine purposes in accordance with local generally accepted accounting principles)

Auditor's Report

To the President and Directors of
Compania de Alimentos Fargo S.A.

1. We have audited the balance sheets of Compania de Alimentos Fargo S.A. as of December 31, 2002 and 2001, as well as the statements of operations, of changes in shareholders' equity and cash flows for the years then ended, together with the corresponding notes 1 to 31, schedules A to H. Furthermore, we have examined the consolidated balance sheet of Compania de Alimentos Fargo S.A. with its subsidiaries as of December 31, 2002 and 2001, as well as the consolidated statements of operations and cash flows for the years then ended, together with notes 1 to 25, the consolidated schedules A, B, D, E, F, G and H and the Consolidated Summary of Activities, which are presented as complementary information. The preparation and issuance of the mentioned financial statements are the responsibility of the Company.

2. We conducted our audits in accordance with generally accepted auditing standards in Argentina. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement and to form an opinion about the reasonableness of the relevant information included in the financial statements. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion included in point 9.

3. At the date of issue of these financial statements, the Company has made projections of its businesses, which were used as basis to determine the recoverable value of its long-term assets and, consequently, to recognize amortization and impairment of goodwill amounting to Ps. 264,308,944 at December 31, 2002. We are not in a position to estimate whether the premises used by management to prepare its projections will take place in the future and, consequently, whether the recoverable value of fixed assets, intangible assets and other non-current assets not provided for will exceed their respective net consolidated book values which amount to Ps. 101,804.508, Ps. 3,677,270 and Ps. 17,965,113, respectively.

4. As mentioned in Notes 1 and 2 to the consolidated financial statements, due to the significant recession and the serious financial crisis in Argentina which worsened in late 2001 and early 2002, and the high financial indebtedness in foreign currency which generated a significant exchange loss, the Company has continued to incur losses which at the end of the year amounted to Ps. 508,359,132 and recorded accumulated losses amounting to Ps. 767,149,056, a consolidated working capital shortfall of Ps. 578,321,097 and negative shareholders' equity of Ps. 457,738,737. Consequently, the Company has been unable to: a) meet certain principal and interest maturities under the Financial Loan Agreement amounting to US$ 30 million (with Bankers Trust Company as Administrative Agent and Deutsche Bank Securities Inc. as Arranger); b) payment of interest on Negotiable Obligations issued by the Company as from February 2002; and c) certain economic and financial ratios required under the mentioned Financial Loan Agreement and the Negotiable Obligations program.

As a result of the circumstances mentioned above, on June 28, 2002 the Company filed for a composition with creditors before the National Court of First Instance on Commercial Matters N(degree) 20, Secretariat N(degree) 39. On August 13, 2002 the Judge approved the opening of a creditors' composition.

At the date of preparation of these financial statements, the legal proof of claim period has not yet expired, as creditors are allowed to file petitions for extended verification up to two years after the date of filing for a composition with creditors, after which the statute of limitation established by section 56 of Law N(degree) 24,522 will

apply. In addition, the arrangement with creditors has not yet been drafted, so that the final amount of the debt included in the composition and the form of payment have not yet been determined. Accordingly the amounts and payment terms contemplated in these financial statements could vary as a consequence of this process. The respective professional fees and/or expenses that might be awarded under the composition with creditors have not been estimated or provided for.

5. As indicated in Note 23 to the financial statements, at December 31, 2002 the Company recorded negative shareholders' equity. Although section 94, sub-section 5 of Law N(degree) 19,550 establishes that a Company in such a situation qualifies for dissolution, Decree N(degree) 1,269 of the National Executive Branch dated July 17, 2002 suspended application of this section until December 10, 2003.

6. The circumstances described in point 4) above generate uncertainty as to the possibility of the Company continuing to operate as a going concern. The financial statements have been prepared by the Company using accounting principles applicable to a going concern. Therefore, these financial statements do not include the effects of possible valuation adjustments or reclassifications that might be required if the above situation is not resolved in favor of continuing the Company's activities and the Company were obliged to sell its assets and settle its liabilities, including contingencies, in conditions other than those of the normal course of its business.

7. As detailed in Note 2, as a consequence of the economic crisis in Argentina, the year under consideration was affected by a set of measures adopted by the National Government. The future evolution of the economic crisis might require that the Government modify measures already adopted or issue additional regulations modifying the negotiations already agreed and/or valuation of liabilities recorded at the end of the year. Consequently, the financial statements of the Company must be read in the light of these circumstances.

8. The financial statements of Compania de Alimentos Fargo S.A. at December 31, 2002 were prepared in accordance with accounting principles generally accepted in Argentina, which may significantly differ from the accounting standards generally accepted in other jurisdictions in which they could be used.

9. Due to the effect on these financial statements of possible adjustments and reclassifications that may be required as a result of the resolution of the situations described in points 3. to 7., we are not in a position to express and, therefore, we do not express an opinion on the financial statements of Compania de Alimentos Fargo S.A. at December 31, 2002 and 2001 or on its consolidated financial statements at those dates, prepared in conformity with professional accounting standards in effect in the Autonomous City of Buenos Aires.

10. In accordance with current regulations, we report that:

a) The financial statements mentioned in 1. arise from accounting records carried in all formal respects in accordance with legal requirements which maintain the security and integrity conditions based on which they were authorized by the National Securities Commission and were prepared in conformity with Laws N(degree) 19,550 and 22,903 and Resolution N(degree) 368/01 of the National

Securities Commission. At the date of issue of this report, however, they are pending transcription to the Inventory and Balance Sheet book.

b) We have read the Consolidated Summary of Activities on which, a regards those matters that are within our competence, we have no observations to make other than those mentioned in previous paragraphs.

c) At December 31, 2002, the liabilities accrued by Compania de Alimentos Fargo S.A. in respect of employer contributions and employee withholdings towards the Integrated Pension and Survivors' Benefit System according to the accounting records and returns by the Company, amounted to Ps. 1,546,723, which were not due at that date.

Buenos Aires, March 10, 2003

PRICE WATERHOUSE & CO.

(Partner)

C.P.C.E.C.A.B.A. To. 1 Fo. 1 R.A.P.U.
Gabriel R. Martini
Public Accountant (UBA)
C.P.C.E. C.A.B.A. To. 201 - Fo. 24

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